



Disclosures Under Basel III Framework

Basel III Pillar 3 Disclosures
December 31, 2024

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Table OVA: Bank's Risk Management approach

a) Business Model Determination and Interaction with Overall Risk Profile

Riyad Bank (the "Bank") is a Saudi Joint Stock Company incorporated in the Kingdom of Saudi Arabia, formed pursuant to the Royal Decree and the Council of Ministers' Resolution No. 91 dated 1 Jumad Al-Awal 1377H (corresponding to 23 November 1957G). The Bank operates in the Kingdom of Saudi Arabia, a branch in London, United Kingdom, an agency in Houston, United States, and a representative office in Singapore.

The objective of the Bank is to provide a full range of banking and investment services. The Bank also provides to its customers Islamic (non-interest based) banking products which are approved and supervised by an independent Shariah Board established by the Bank.

The Bank adopted an integrated enterprise-wide approach in regards to risk management where all risk types and cross-risk type issues are identified, assessed, measured, and monitored at all levels to provide one integrated view on the Bank's risk profile. The Bank fosters a sound risk culture of shared responsibility and accountability, along with an enabling risk appetite and Enterprise Risk Management Framework (ERMF), to ensure a robust internal control environment and effective risk management practices. The Bank's ERMF objective is to ensure sustainable capital adequacy on an ongoing basis.

b) Risk Governance Structure

The Board of Directors (BoD) is responsible to ensure that the Bank is organized effectively and efficiently and is run according to all appropriate regulatory requirements and best practices. BoD carries out the core responsibilities of, including but not limited to, setting the Bank's risk appetite and approving the risk frameworks and/or relevant policies. BoD has an effective oversight over the Bank's compliance with all regulatory matters, risk governance and on the implementation of strategic risk related projects.

The BoD has formed few sub-committees at board level to have an effective oversight over critical functions of the Bank and to ensure the regulatory compliance, namely Executive Committee, Audit Committee, Risk Management Committee (RMC), Nomination and Compensation Committee, Strategic Planning Group and Shari'ah Committee.

BoD appoint a Chief Executive Officer (CEO) who is responsible for implementing the BoD decisions/ resolutions and for management of the Bank. CEO is facilitated by an experienced executive management team who operates under the BoD approved organizational structure.

The Bank has an overarching Enterprise Risk Management Committee (ERMC) at a management level for an effective risk oversight & governance and for ensuring stable risk profile of the Bank. Besides, the Bank also has several management committees for an oversight of relevant risks including but not limited to Asset and Liability Committee (ALCO), Main Credit Committee, Investment Committee, Credit Risk Management Committee, Anti-Financial Fraud Governance Committee, Cyber Security Committee and Business Continuity Committee.

c) Channels to Communicate, Define and Enforce the Risk Culture

The Bank ensures a strong culture through effective communication, clear definition and consistent development. Leadership emphasizes the importance of risk management through clear policies, training programs, and interactive forums.

Core values and the Risk Appetite Statement (RAS) define acceptable risk behavior, while risk considerations are embedded into performance evaluations align individual actions with the desired culture.

To enforce this culture, a robust governance framework, transparent incident reporting, regular audits, and whistleblowing system are employed, ensuring adherence to policies and accountability for risk-related actions. This integrated approach promotes transparency, accountability, and proactive risk management, fully aligning with SAMA and Basel guidelines.

d) The Scope and Main Features of Risk Measurement Systems

The Bank has implemented comprehensive risk measurement systems, frameworks, policies, processes, models and methodologies for timely and effective assessment of existing and emerging risks. In addition, the Bank has developed and implemented risk management tools including but not limited to Stress-Testing, Key Risk Indicators (KRI), Risk Control Self-Assessment (RCSA), Risk Acceptance Criteria and Risk Assessment to ensure stable risk profile. The Board sets the risk appetite annually, at a level that minimizes erosion of earnings or capital due to avoidable losses in the banking and trading books or from frauds and operational inefficiencies.

Stress testing is used to assess the vulnerability of the Bank's financial position to exceptional but plausible stress events and scenarios, and the impact that they may have on business plans, risk management strategies, liquidity or capital plan. The stress test results serve as an input into the Bank's strategic decision-making by linking these results to risk appetite, capital and contingency planning.

KRIs refer to a qualitative and quantitative metric used to measure key risks across an organization and is derived based on Bank's procedures and current business practice. RCSA is applied to assess the effectiveness of risk, and control environment of the business divisions and support areas.

Risk Acceptance Criteria and Risk Assessment is utilized for the screening and the determination of the target clients and exposures.

e) Description of process of risk information reporting provided to the Board and Senior Management

The BoD and senior management are constantly informed regarding the risk profile of the Bank through several reports. The key reports provided to the BoD/senior management on a periodic basis include but not limited to Risk Appetite Statement (RAS), Liquidity Monitoring and Early Warning Indicators (EWI), Investment Committee Report, ALCO Report, Asset Quality Report, Internal Capital Adequacy Assessment Plan (ICAAP), Internal Liquidity Adequacy Assessment Process (ILAAP) and Stress Testing.

f) Qualitative information on stress testing

The Bank has developed and implemented an overarching stress testing framework and stress testing policy to set out the core principles and objectives for managing and conducting stress tests within the Bank including subsidiaries, offshore agencies, branches and representative offices, where applicable. Overarching purpose of the framework is to:

- Establish the governance structure on stress testing in the Bank.
- Establish the high-level guiding principles for stress testing in line with SAMA requirements, and best practices.
- Adopt a holistic approach on stress testing and aim to capture all exceptional but plausible events in the scenario selection process.

g) The strategies and processes to manage, hedge and mitigate risks

The Bank manages the applicable risk types with an application of best practices and relevant frameworks, policies, processes, and methodologies. It has put in place a robust governance structure to ensure an effective risk management strategy for identification, measuring, monitoring, reporting and mitigation of risks. The Bank has a sound risk culture, an enabling risk appetite, enterprise risk management framework and multiple risk management policies to ensure robust internal control environment.

- i. The bank has an overarching board approved enterprise risk management framework (ERMF) to outline the high-level risk management goals, risk governance and strategy for risk management in Riyadh bank including fully owned subsidiaries, offshore agencies, branches and representative offices, where applicable. ERMF applies to all levels and assists in achieving the strategic objectives by bringing a systematic approach to identifying, analyzing, mitigating and reporting of risks.
- ii. A strong risk strategy and risk appetite approved by the Board is in place and monitored through risk appetite dashboard which provide integrated approach to spot and trigger immediate remedial actions with clearly defined roles and responsibilities keeping in view the best international market practices.
- iii. Riyadh Bank's market risk objectives are governed by Market Risk Management Framework, which provides the Bank's market risk appetite and a robust market risk management. The framework is approved by the Board and sets out the objectives and requirements of policies and procedures for Market Risk Management. Market Risk Guidelines provides roles & responsibilities of the Bank's Senior Management and Market & Liquidity Risk Management Department for effective management of market risks in the Bank's trading activities as per the appetite set by the Board.
- iv. Bank has comprehensive Credit Risk Management (CRM) Framework in place approved by the Board of Directors to cover all Bank-wide credit functions and activities. The CRM Framework along with strong credit risk governance structure are designed to provide comprehensive controls and continuing management of the credit risk.
- v. The Board of Directors has approved credit policy guidelines for the Bank. All exposures must confirm to these macro credit-limits, product types and tenors. Cross border counterparty credit lines are subject to the availability of respective country-limits, where applicable.

- vi. Bank's maximum exposure to a single borrower is in line with the regulatory limits. Further, the bank has also complied with the minimum requirements on setting large exposure rules with respect to bank's exposure to single counterparties, group of connected counterparties and related counterparties to meet the regulatory requirements for large and connected exposures reporting. The rules are fully operationalized in the Bank's lending system and complies with SAMA's requirements. Enhancement of management information system is carried out to provide timely, integrated and informative reports that properly identify, measure, monitor, individual and related exposures as well as credit risk concentrations.
- vii. Bank has deployed an advanced internal loan grading system as well as early warning signal system that covers areas such as loan usage, documentation, company information, third party information as well as external information. The Bank is also more vigilant in terms of the application of credit mitigants. At a bank-wide level, credit exposures are managed to promote alignment to Bank's risk appetite statement, to maintain the target business mix and to ensure that there is no undue concentration of risk. Concentration risk is also well managed through well-defined policy and employment of robust methodology. Bank continues to refine its existing internal rating systems as well as develop new or enhanced rating systems on an ongoing basis to ensure robust obligor risk assessment. These risk ratings together with the risk migration matrix assist with more accurate calculation of PD's associated with loan portfolio and enhancing risk premium/ review pricing policies.
- viii. The Bank uses IFRS9 impairment methodology under which the impairment model reflects expected credit losses. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition. Impairment approach of IFRS-9 applies to financial assets measured at Amortized cost and Fair Value through Other Comprehensive Income. For the risk management and reporting purposes, Bank has deployed ECL calculation System that calculates provisioning based on IFRS9 guidelines and supports an integrated modular approach in an automated environment for business and regulatory reporting. The Bank has also put in place the required policies, process and procedure documents, and respective risk models are in place to enable the computation of ECL for financial instruments that are subject to ECL calculation.
- ix. The Bank has implemented risk management tools and methodologies, like, Risk & Control Self-assessment (RCSA), Key Risk Indicators (KRI), control testing, risk assessment of new products/processes, and incident management to ensure appropriate management of operational risks. It also promotes a culture of risk identification and mitigation within the Bank, through continual employee engagement and awareness sessions. Moreover, several risk mitigation techniques are used in the Bank, including but not limited to:
 - Controls testing
 - Operation Losses Risk appetite thresholds.
 - Process improvement and streamlining of procedures via active participation by control functions.
 - Having adequate insurance policies and coverage across the bank activities.
 - Business continuity planning and execution.
- x. The Bank has an approved Cybers and Information Security Risk Assessment & Management Framework and Methodology (CISRAM) designed to ensure cyber security risks are properly managed to protect the confidentiality, integrity, and availability of all Riyadh Bank's information and technology assets and to create culture, processes and structures that are directed towards the effective management of potential cybersecurity risks and adverse effects on Riyadh Bank business operations.
- xi. The strategies and processes to manage, hedge and mitigate technology and cyber risks that arise from the bank's business model and the processes for monitoring are in place.
- xii. For Interest rate risk, the bank is using a DV01 by maturity bucket to measure the exact period of time that attracts interest rate risk. Based on that, the bank hedges its interest rate volatility using several hedging solutions such as asset swaps and interest rate swaps. The bank has a hedging strategy along with a hedging plan that gets updated and discussed in ALCO meetings.
- xiii. The Bank has enhanced collateral coverage in designated business activities, together with the

reduction of risk limits at an individual and portfolio levels. Further, the bank can tighten credit underwriting requirements to reduce credit risk as well as restructuring, unwinding or hedging certain positions.

- xiv. The Bank has also deployed RAROC (Risk-adjusted return on capital) tool for senior management to compare different businesses on a like-for-like basis, and for business managers to compare different products/ customers/ transactions on a like-for-like basis.
- xv. The Bank has enhanced remedial and restructuring capabilities so as to identify and cure the problem accounts at the right time in order identify potential NPLs at an earlier stage.

KM1: Key metrics (at consolidated group level)
SR 000

		a	b	c	d	e
		Dec-24	Sep-24	Jun-24	Mar-24	Dec-23
Available capital (amounts)						
1	Common Equity Tier 1 (CET1)	58,359,010	56,367,266	55,547,254	53,290,711	53,451,132
1a	Fully loaded ECL accounting model	58,359,010	56,367,266	55,547,254	53,290,711	53,451,132
2	Tier 1	67,745,110	62,930,816	62,110,954	59,853,586	60,013,632
2a	Fully loaded ECL accounting model Tier 1	67,745,110	62,930,816	62,110,954	59,853,586	60,013,632
3	Total capital	78,225,414	73,177,039	72,677,002	70,142,600	70,511,967
3a	Fully loaded ECL accounting model total capital	78,225,414	73,177,039	72,677,002	70,142,600	70,511,967
Risk-weighted assets (amounts)						
4	Total risk-weighted assets (RWA)	412,963,098	403,043,293	372,222,986	363,209,221	340,106,914
4a	Total risk-weighted assets (pre-floor)	412,963,098	403,043,293	372,222,986	363,209,221	340,106,914
Risk-based capital ratios as a percentage of RWA						
5	CET1 ratio (%)	14.13%	13.99%	14.92%	14.67%	15.72%
5a	Fully loaded ECL accounting model CET1 (%)	14.13%	13.99%	14.92%	14.67%	15.72%
5b	CET1 ratio (%) (pre-floor ratio)	14.13%	13.99%	14.92%	14.67%	15.72%
6	Tier 1 ratio (%)	16.40%	15.61%	16.69%	16.48%	17.65%
6a	Fully loaded ECL accounting model Tier 1 ratio (%)	16.40%	15.61%	16.69%	16.48%	17.65%
6b	Tier 1 ratio (%) (pre-floor ratio)	16.40%	15.61%	16.69%	16.48%	17.65%
7	Total capital ratio (%)	18.94%	18.16%	19.53%	19.31%	20.73%
7a	Fully loaded ECL accounting model total capital ratio (%)	18.94%	18.16%	19.53%	19.31%	20.73%
7b	Total capital ratio (%) (pre-floor ratio)	18.94%	18.16%	19.53%	19.31%	20.73%
Additional CET1 buffer requirements as a percentage of RWA						
8	Capital conservation buffer requirement (2.5% from 2019) (%)	2.50%	2.50%	2.50%	2.50%	2.50%
9	Countercyclical buffer requirement (%)	0.087%	0.089%	0.088%	0.126%	0.082%
10	Bank G-SIB and/or D-SIB additional requirements (%)	0.50%	0.50%	0.50%	0.50%	0.50%
11	Total of bank CET1 specific buffer requirements (%) (row 8 + row 9 + row 10)	3.087%	3.089%	3.088%	3.126%	3.082%
12	CET1 available after meeting the bank's minimum capital requirements (%)	6.54%	6.40%	7.34%	7.05%	8.13%
Basel III leverage ratio						
13	Total Basel III leverage ratio exposure measure	560,088,781	542,035,395	516,718,142	515,371,055	486,290,189
14	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves)	12.10%	11.61%	12.02%	11.61%	12.34%
14a	Fully loaded ECL accounting model Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) (%)	12.10%	11.61%	12.02%	11.61%	12.34%
14b	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves)	12.55%	12.00%	12.02%	11.61%	12.34%
14c	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	12.09%	11.60%	12.02%	11.61%	12.34%
14d	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	12.54%	11.98%	12.02%	11.61%	12.34%
Liquidity Coverage Ratio (LCR)						
15	Total high-quality liquid assets (HQLA)	56,862,538	52,355,888	51,318,422	49,108,084	51,802,125
16	Total net cash outflow	39,227,912	36,858,615	32,706,614	33,263,932	32,394,413
17	LCR ratio (%)	145%	142%	157%	148%	160%
Net Stable Funding Ratio (NSFR)						
18	Total available stable funding	277,415,460	273,108,499	268,995,801	265,041,821	260,634,284
19	Total required stable funding	259,240,048	249,805,198	238,332,493	241,782,362	229,766,552
20	NSFR ratio	107%	109%	113%	110%	113%

OV1: Overview of RWA

	SR 000's			Drivers behind significant differences in T and T-1
	a	b	c	
	RWA		Minimum capital requirements	
	Dec-24	Sep-24	Dec-24	
1 Credit risk (excluding counterparty credit risk)	372,601,963	361,443,926	29,808,157	Increase in Loans and Advances and off balance sheet items
2 Of which: standardised approach (SA)	372,601,963	361,443,926	29,808,157	
3 Of which: foundation internal ratings-based (F-IRB) approach				
4 Of which: supervisory slotting approach				
5 Of which: advanced internal ratings-based (A-IRB) approach				
6 Counterparty credit risk (CCR)	4,268,128	6,097,525	341,450	Decrease in Replacement Cost/MTM due to increasing Yields
7 Of which: standardised approach for counterparty credit risk	4,268,128	6,097,525	341,450	Decrease in Replacement Cost/MTM due to increasing Yields
8 Of which: IMM				
9 Of which: other CCR				
10 Credit valuation adjustment (CVA)	4,235,846	5,796,727	338,868	Decrease in EAD
11 Equity positions under the simple risk weight approach and the internal model method during the five-year linear phase-in period				
12 Equity investments in funds - look-through approach	785,727	1,165,271	62,858	
13 Equity investments in funds - mandate-based approach				
14 Equity investments in funds - fall-back approach				
15 Settlement risk				
16 Securitisation exposures in banking book				
17 Of which: securitisation IRB approach (SEC-IRBA)				
18 Of which: securitisation external ratings-based approach (SEC-ERBA), including internal assessment approach (IAA)				
19 Of which: securitisation standardised approach (SEC-SA)				
20 Market risk	15,359,313	12,827,722	1,228,745	due to the increase in FX open position
21 Of which: standardised approach (SA)	15,359,313	12,827,722	1,228,745	
22 Of which: internal model approach (IMA)				
23 Capital charge for switch between trading book and banking book				
24 Operational risk	15,712,122	15,712,122	1,256,970	
25 Amounts below the thresholds for deduction (subject to 250% risk weight)				
26 Output floor applied				
27 Floor adjustment (before application of transitional cap)				
28 Floor adjustment (after application of transitional cap)				
29 Total (1 + 6 + 10 + 11 + 12 + 13 + 14 + 15 + 16 + 20 + 23 + 24 + 25 + 28)	412,963,098	403,043,293	33,037,048	

L11: Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories - 31 December 2024

	SAR 000						
	a	b	c	d	e	f	g
	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Carrying values of items:			Not subject to capital requirements or subject to deduction from capital
				Subject to counterparty credit risk framework	Subject to the securitization framework	Subject to the market risk framework	
Assets							
Cash and balances with SAMA	22,599,973	22,599,973	22,599,997				
Due from banks and other financial institutions	22,574,084	22,574,084	22,575,140				
Positive fair vale of derivatives	5,568,952	5,568,952		5,568,952			
Investments, net	69,668,963	69,668,963	64,799,235			4,492,579	
Loans and advances, net	320,089,491	320,089,491	323,529,278				
Investment in associates	402,419	402,419	402,419				
Other real estate	753,700	753,700	753,700				
Property and equipment, net	6,517,129	6,517,129	6,517,129				
Other assets	2,204,083	2,204,083	2,433,957				
Total assets	450,378,794	450,378,794	443,610,854	5,568,952	-	4,492,579	-
Liabilities							
Due to banks and other financial institutions	43,949,020						43,949,020
Negative fair value of derivatives	5,165,593						5,165,593
Customer deposits	306,423,391						306,423,391
Debt securities in issue	13,324,453						13,324,453
Other liabilities*	13,574,238						13,574,238
Total liabilities	382,436,695	-	-	-	-	-	382,436,695

*This includes loss allowance for credit related commitments and contingencies

LI2: Main sources of differences between regulatory exposure amounts and carrying values in financial statements - 31 December 2024
SAR 000

	a	b	c	d	e
	Total (&/or Notional Amounts)	Items subject to:			
		Credit risk framework	Securitisation framework	Counterparty credit risk framework	Market risk framework
Asset carrying value amount under scope of regulatory consolidation (as per template 1 LI1)	450,378,794	443,610,854		5,568,952	4,492,579
Liabilities carrying value amount under regulatory scope of consolidation (as per template LI1)	-				
3 Total net amount under regulatory scope of consolidation	67,942,099	443,610,854	-	5,568,952	4,492,579
4 Off-balance sheet amounts*	305,205,366	110,126,206			
5 Differences in valuations					
6 Differences due to different netting rules, other than those already included in row 2					
7 Differences due to consideration of provisions			-		
8 Differences due to prudential filters					
9 Market risk on Foreign exchange	251,523				251,523
10 Derivatives (also subject to Credit valuation adjustment)	295,488,112			4,653,603	

*Includes commitments that are unconditionally cancellable at any time by the Bank or automatic cancellation due to deterioration in a borrower's creditworthiness

Table LIA: Explanations of differences between accounting and regulatory exposure amounts

Riyad Bank does not have any difference between 'Carrying values as reported in published financial statements' and 'Carrying values under scope of regulatory consolidation'

On-Balance Sheet

In case of On-Balance Sheet items, currently there are no differences between carrying values and amounts considered for regulatory purposes except certain provisions.

Off-Balance Sheet & Derivatives

In case of Off-Balance sheet and Derivatives Notional values are populated as total carrying/accounting value whereas credit equivalent amounts (i.e. after applying conversion factors including Add-on adjustments in case of Derivative portfolio) are populated under respective regulatory framework.

Valuation methodologies

Please refer to note 2 e) and 37 of Annual Published Financial Statements

CC1 - Composition of regulatory capital - 31 December 2024
SR 000's

	a	b	
	Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation	Commentary to explain any significant changes over the reporting period and the key drivers of such change
Common Equity Tier 1 capital: instruments and reserves			
1 Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	30,000,000	A	
2 Retained earnings	13,359,899	B	
3 Accumulated other comprehensive income (and other reserves)	15,196,100	C-E	
4 Directly issued capital subject to phase-out from CET1 capital (only applicable to non-joint stock companies)			
5 Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1 capital)			
6 Common Equity Tier 1 capital before regulatory adjustments	58,555,999		
Common Equity Tier 1 capital: regulatory adjustments			
7 Prudent valuation adjustments			
8 Goodwill (net of related tax liability)			
9 Other intangibles other than mortgage servicing rights (MSR) (net of related tax liability)	(150,941)		
10 Deferred tax assets (DTA) that rely on future profitability, excluding those arising from temporary differences (net of related tax liability)			
11 Cash flow hedge reserve	(46,048)		
12 Shortfall of provisions to expected losses			
13 Securitisation gain on sale (as set out in SACAP4.1.4)			
14 Gains and losses due to changes in own credit risk on fair valued liabilities			
15 Defined benefit pension fund net assets			
16 Investments in own shares (if not already subtracted from paid-in capital on reported balance sheet)			
17 Reciprocal cross-holdings in common equity			
18 Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)			
19 Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)			
20 MSR (amount above 10% threshold)			
21 DTA arising from temporary differences (amount above 10% threshold, net of related tax liability)			
22 Amount exceeding the 15% threshold			
23 Of which: significant investments in the common stock of financials			
24 Of which: MSR			
25 Of which: DTA arising from temporary differences			
26 National specific regulatory adjustments			
27 Regulatory adjustments applied to Common Equity Tier 1 capital due to insufficient Additional Tier 1 and Tier 2 capital to cover deductions			
28 Total regulatory adjustments to Common Equity Tier 1 capital	(196,989)		
29 Common Equity Tier 1 capital (CET1)	58,359,010	F	
Additional Tier 1 capital: instruments			
30 Directly issued qualifying additional Tier 1 instruments plus related stock surplus	9,386,100	G	
31 Of which: classified as equity under applicable accounting standards			
32 Of which: classified as liabilities under applicable accounting standards			
33 Directly issued capital instruments subject to phase-out from additional Tier 1 capital			
34 Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group additional Tier 1 capital)			
35 Of which: instruments issued by subsidiaries subject to phase-out			
36 Additional Tier 1 capital before regulatory adjustments	9,386,100		
Additional Tier 1 capital: regulatory adjustments			
37 Investments in own additional Tier 1 instruments			
38 Reciprocal cross-holdings in additional Tier 1 instruments			
39 Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)			
40 Significant investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation			
41 National specific regulatory adjustments			
42 Regulatory adjustments applied to additional Tier 1 capital due to insufficient Tier 2 capital to cover deductions			
43 Total regulatory adjustments to additional Tier 1 capital	0		
44 Additional Tier 1 capital (AT1)	9,386,100		
45 Tier 1 capital (T1 = CET1 + AT1)	67,745,110		
Tier 2 capital: instruments and provisions			
46 Directly issued qualifying Tier 2 instruments plus related stock surplus	8,781,589	H	
47 Directly issued capital instruments subject to phase-out from Tier 2 capital			
48 Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)			
49 Of which: instruments issued by subsidiaries subject to phase-out			
50 Provisions	1,698,715		
51 Tier 2 capital before regulatory adjustments	10,480,304		
Tier 2 capital: regulatory adjustments			
52 Investments in own Tier 2 instruments			
53 Reciprocal cross-holdings in Tier 2 instruments and other TLAC liabilities			
54 Investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)			
55 Investments in the other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation and where the bank does not own more than 10% of the issued common share capital of the entity: amount previously designated for the 5% threshold but that no longer meets the conditions (for G-SIBs only)			
56 Significant investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation (net of eligible short positions)			
57 National specific regulatory adjustments			
58 Total regulatory adjustments to Tier 2 capital	-		
59 Tier 2 capital	10,480,304		
60 Total regulatory capital (= Tier 1 + Tier 2)	78,225,414		
61 Total risk-weighted assets	412,963,098		
Capital adequacy ratios and buffers			
62 Common Equity Tier 1 capital (as a percentage of risk-weighted assets)	14.13%		
63 Tier 1 capital (as a percentage of risk-weighted assets)	16.40%		
64 Total capital (as a percentage of risk-weighted assets)	18.94%		
65 Institution-specific buffer requirement (capital conservation buffer plus countercyclical buffer requirements plus higher loss absorbency requirement, expressed as a percentage of risk-weighted assets)	3.09%		
66 Of which: capital conservation buffer requirement	2.5%		
67 Of which: bank-specific countercyclical buffer requirement	0.09%		
68 Of which: higher loss absorbency requirement	0.5%		
69 Common Equity Tier 1 capital (as a percentage of risk-weighted assets) available after meeting the bank's minimum capital requirements	6.54%		
70 National minima (if different from Basel III)			
71 National minimum Common Equity Tier 1 capital adequacy ratio (if different from Basel III minimum)			
72 National minimum Tier 1 capital adequacy ratio (if different from Basel III minimum)			
73 National minimum Total capital adequacy ratio (if different from Basel III minimum)			
Amounts below the thresholds for deduction (before risk-weighting)			
74 Non-significant investments in the capital and other TLAC liabilities of other financial entities	402,419	I	
75 Significant investments in the common stock of financial entities			
76 MSR (net of related tax liability)			
77 DTA arising from temporary differences (net of related tax liability)			
Applicable caps on the inclusion of provisions in Tier 2 capital			
78 Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to standardised approach (prior to application of cap)	1,698,715		
79 Cap on inclusion of provisions in Tier 2 capital under standardised approach	4,763,824		
80 Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to internal ratings based approach (prior to application of cap)			
81 Cap for inclusion of provisions in Tier 2 capital under internal ratings-based approach			
Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)			
82 Current cap on CET1 instruments subject to phase-out arrangements			
83 Amount excluded from CET1 capital due to cap (excess over cap after redemptions and maturities)			
84 Current cap on AT1 instruments subject to phase-out arrangements			
85 Amount excluded from AT1 capital due to cap (excess over cap after redemptions and maturities)			
86 Current cap on Tier 2 instruments subject to phase-out arrangements			
87 Amount excluded from Tier 2 capital due to cap (excess over cap after redemptions and maturities)			

CC2 – Reconciliation of regulatory capital to balance sheet - 31 December 2024

	A	B	SR 000's
	Balance sheet in Published financial statements	Under regulatory scope of consolidation	Reference
Assets			
Cash and balances at central banks	22,599,973	22,599,973	I
Due from banks and other financial institutions	22,574,084	22,574,084	
Positive fair value of derivatives	5,568,952	5,568,952	
Investments, net	69,668,963	69,668,963	
Loans and advances, net	320,089,491	320,089,491	
Other assets	2,204,083	2,204,083	
Investment in associates	402,419	402,419	
Other real estate	753,700	753,700	
Property, equipment and right of use assets, net	6,517,129	6,517,129	
Total assets	450,378,794	450,378,794	
Liabilities			
Due to banks and other financial institutions	43,949,020	43,949,020	H
Negative fair value of derivatives	5,165,593	5,165,593	
Customer deposits	306,423,391	306,423,391	
Debt securities in issue and term loan	13,324,453	13,324,453	
Other liabilities	13,574,238	13,574,238	
Subtotal	382,436,695	382,436,695	
Share capital	30,000,000	30,000,000	A
Treasury shares	(165,105)	(165,105)	C
Statutory reserve	15,283,989	15,283,989	D
Other reserves	77,216	77,216	E
Retained earnings	13,359,899	13,359,899	B
Proposed dividends	-	-	
Equity attributable to the shareholders of the Bank	58,555,999	58,555,999	F
Tier 1 Sukuk	9,386,100	9,386,100	G
Total equity	67,942,099	67,942,099	
Total liabilities and equity	450,378,794	450,378,794	

CDC: Capital distribution constraints

		a	b	SR 000's
		CET1 capital ratio that would trigger capital distribution constraints (%)	Current CET1 capital ratio (%)	Constrains imposed
1	CET1 minimum requirement plus Basel III buffers (not taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	7.59%	14.13%	
2	CET1 capital plus Basel III buffers (taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	7.59%	14.13%	
		Leverage ratio that would trigger capital distribution constraints (%)	Current leverage ratio (%)	
3	[Applicable only for G-SIBs] Leverage ratio	N/A	N/A	

Table CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments - 31 December 2024

		a Quantitative / qualitative information
1	Issuer	Riyad Sukuk Limited
2	Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN: XS2120069047
3	Governing law(s) of the instrument	English law (except certain provisions, including those relating to the status and subordination of the Certificates, the Master Purchase Agreement and Sale/Transfer Agreement which shall be governed by Saudi Arabian law)
3a	Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	As per the terms and conditions of the sukuk, the write-down clause is subject to, and superseded by, any applicable statutory loss absorption regime becoming effective in KSA."
4	Transitional Basel III rules	Tier 2
5	Post-transitional Basel III rules	Eligible
6	Eligible at solo/group/group and solo	Solo
7	Instrument type (refer to SACAP)	Subordinated Trust Certificates
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	USD 1,500 million
9	Par value of instrument	USD 1,500 million
10	Accounting classification	Liability at amortised cost
11	Original date of issuance	2/25/2020
12	Perpetual or dated	Dated
13	Original maturity date	2/25/2030
14	Issuer call subject to prior SAMA approval	At the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, subject to, amongst other conditions, prior written approval from the Financial Regulator, if then required
15	Optional call date, contingent call dates and redemption amount	The Trust Certificates may be redeemed prior to the scheduled dissolution date due to: (i) a Capital Disqualification Event, (ii) tax reasons, or (iii) at the option of the Issuer on the Periodic Distribution Date that falls on the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, in each case, subject to the conditions to redemption and repurchase, and as further set out in the terms and conditions of the Trust Certificates
16	Subsequent call dates, if applicable	As above
17	Coupons / dividends	Fixed
18	Fixed or floating dividend/coupon	3.174% per annum fixed rate payable semi-annually in arrear on each Periodic Distribution Date from and including the Issue Date to but excluding the First Call Date. The Profit Rate shall thereafter reset on the First Call Date
19	Coupon rate and any related index	No
20	Existence of a dividend stopper	No
21	Fully discretionary, partially discretionary or mandatory	Mandatory
22	Existence of step-up or other incentive to redeem	Yes
23	Non-cumulative or cumulative	Non cumulative
24	Convertible or non-convertible	Non convertible
25	If convertible, conversion trigger(s)	Not applicable
26	If convertible, fully or partially	Not applicable
27	If convertible, conversion rate	Not applicable
28	If convertible, mandatory or optional conversion	Not applicable
29	If convertible, specify instrument type convertible into	Not applicable
30	If convertible, specify issuer of instrument it converts into	Not applicable
31	Writedown feature	Yes
32	If writedown, writedown trigger(s)	Terms of issuance provide the legal basis for the regulator to trigger write down
33	If writedown, full or partial	Can be full or partial
34	If writedown, permanent or temporary	Permanent
35	If temporary write-down, description of writeup mechanism	NA
36	Type of subordination	Unsecured
37	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Sub-ordinated. Senior obligations are immediately senior to this instrument
38	Non-compliant transitioned features	NA
39	If yes, specify non-compliant features	NA

Table CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments - 31 December 2024

		^a Quantitative / qualitative information
1	Issuer	Riyad Bank
2	Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	RIBL: AB
3	Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
3a	Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	As per the terms and conditions of the sukuk, the write-down clause is subject to, and superseded by, any applicable statutory loss absorption regime becoming effective in KSA."
4	Transitional Basel III rules	Tier 2
5	Post-transitional Basel III rules	Eligible
6	Eligible at solo/group/group and solo	Solo
7	Instrument type (refer to SACAP)	Sub-ordinated sukuk
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	SAR 3,000 million
9	Par value of instrument	SAR 3,000 million
10	Accounting classification	Liability at amortised cost
11	Original date of issuance	2/9/2021
12	Perpetual or dated	Dated
13	Original maturity date	2/9/2031
14	Issuer call subject to prior SAMA approval	Issuer call at the [5th] anniversary of the Issue Date, subject to prior written approval from the regulator, if then required.
15	Optional call date, contingent call dates and redemption amount	The Sukuk may be redeemed prior to the scheduled dissolution date due to: (i) regulatory capital reasons, (ii) tax reasons, or (iii) at the option of the Issuer on the Periodic Distribution Date that falls on the [5th] anniversary of the Issue Date, in each case, as set out in the terms and conditions of the Sukuk
16	Subsequent call dates, if applicable	As above
17	Coupons / dividends	
18	Fixed or floating dividend/coupon	Floating
19	Coupon rate and any related index	6-month SAIBOR plus 150 basis point
20	Existence of a dividend stopper	No
21	Fully discretionary, partially discretionary or mandatory	Mandatory
22	Existence of step-up or other incentive to redeem	No
23	Non-cumulative or cumulative	Non cumulative
24	Convertible or non-convertible	Non convertible
25	If convertible, conversion trigger(s)	Not applicable
26	If convertible, fully or partially	Not applicable
27	If convertible, conversion rate	Not applicable
28	If convertible, mandatory or optional conversion	Not applicable
29	If convertible, specify instrument type convertible into	Not applicable
30	If convertible, specify issuer of instrument it converts into	Not applicable
31	Writedown feature	Yes
32	If writedown, writedown trigger(s)	Terms of issuance provide the legal basis for the regulator to trigger write down
33	If writedown, full or partial	Can be full or partial
34	If writedown, permanent or temporary	Permanent
35	If temporary write-down, description of writeup mechanism	NA
36	Type of subordination	Unsecured
37	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Sub-ordinated. Senior Bond holders are immediately senior to this instrument
38	Non-compliant transitioned features	NA
39	If yes, specify non-compliant features	NA

Table CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments - 31 December 2024

		^a Quantitative / qualitative information
1	Issuer	Riyad Tier 1 Sukuk Limited
2	Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	RIBL 4 PERP
3	Governing law(s) of the instrument	English law (except certain provisions, including those relating to the status and subordination of the Certificates, the Master Purchase Agreement and Sale/Transfer Agreement which shall be governed by Saudi Arabian law)
3a	Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	As per the terms and conditions of the sukuk, the write-down clause is subject to, and superseded by, any applicable statutory loss absorption regime becoming effective in KSA."
4	Transitional Basel III rules	Tier 1
5	Post-transitional Basel III rules	Eligible
6	Eligible at solo/group/group and solo	Solo
7	Instrument type (refer to SACAP)	USD denominated Additional Tier 1 capital sukuk.
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	USD 750 million
9	Par value of instrument	USD 750 million
10	Accounting classification	Capital Instrument Tier 1
11	Original date of issuance	2/16/2022
12	Perpetual or dated	Perpetual
13	Original maturity date	Perpetual Tier 1 Capital (subject to any early redemption as described below)
14	Issuer call subject to prior SAMA approval	(6-month par call) at the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, subject to, amongst other conditions, prior written approval from the Financial Regulator, if then required
15	Optional call date, contingent call dates and redemption amount	The Capital Certificates are perpetual securities in respect of which there is no fixed redemption date may be redeemed prior to the scheduled dissolution date due to: (i) a Capital Disqualification Event, (ii) tax reasons, or (iii) at the option of the Issuer on the Periodic Distribution Date that falls on the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, in each case, subject to the conditions to redemption and repurchase, and as further set out in the terms and conditions of the Capital Certificates
16	Subsequent call dates, if applicable	As above
17	Coupons / dividends	Fixed
18	Fixed or floating dividend/coupon	4.000 per cent for the period from and including the Issue Date to but excluding the First Reset Date. Resets on the First Reset Date and every five years thereafter on the basis of the Relevant Five Year Reset Rate
19	Coupon rate and any related index	No
20	Existence of a dividend stopper	Fully discretionary, partially discretionary or mandatory
21	Existence of step-up or other incentive to redeem	Mandatory
22	Non-cumulative or cumulative	Yes
23	Convertible or non-convertible	Non cumulative
24	If convertible, conversion trigger(s)	Non convertible
25	If convertible, fully or partially	Not applicable
26	If convertible, conversion rate	Not applicable
27	If convertible, mandatory or optional conversion	Not applicable
28	If convertible, specify instrument type convertible into	Not applicable
29	If convertible, specify issuer of instrument it converts into	Not applicable
30	Writedown feature	Yes
31	If writedown, writedown trigger(s)	Terms of issuance provide the legal basis for the regulator to trigger write down
32	If writedown, full or partial	Can be full or partial
33	If writedown, permanent or temporary	Permanent
34	If temporary write-down, description of writeup mechanism	NA
34a	Type of subordination	Unsecured
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordination (i) constitute Additional Tier 1 Capital of the Bank, (ii) constitute direct, unsecured, unconditional and subordinated obligations of the Bank, (iii) rank subordinate and junior to all Senior Obligations but not further or otherwise, (iv) rank pari passu with all other Pari Passu Obligations and rank in priority only to all Junior Obligations.
36	Non-compliant transitioned features	NA
37	If yes, specify non-compliant features	NA

Table CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments - 31 December 2024

		a Quantitative / qualitative information
1	Issuer	Riyad Bank
2	Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	RIBL 4 PERP
3	Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
3a	Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	As per the terms and conditions of the sukuk, the write-down clause is subject to, and superseded by, any applicable statutory loss absorption regime becoming effective in KSA."
4	Transitional Basel III rules	Tier 1
5	Post-transitional Basel III rules	Eligible
6	Eligible at solo/group/group and solo	Solo
7	Instrument type (refer to SACAP)	SAR denominated Additional Tier 1 capital sukuk.
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	SAR 3,750 million
9	Par value of instrument	SAR 3,750 million
10	Accounting classification	Capital Instrument Tier 1
11	Original date of issuance	10/5/2022
12	Perpetual or dated	Perpetual
13	Original maturity date	Perpetual Tier 1 Capital (subject to any early redemption as described below)
14	Issuer call subject to prior SAMA approval	at the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, subject to, amongst other conditions, prior written approval from the Financial Regulator, if then required
15	Optional call date, contingent call dates and redemption amount	The Capital Certificates are perpetual securities in respect of which there is no fixed redemption date may be redeemed prior to the scheduled dissolution date due to: (i) a Capital Disqualification Event, (ii) tax reasons, or (iii) at the option of the Issuer on the Periodic Distribution Date that falls on the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, in each case, subject to the conditions to redemption and repurchase, and as further set out in the terms and conditions of the Capital Certificates
16	Subsequent call dates, if applicable	As above
17	Coupons / dividends	
17	Fixed or floating dividend/coupon	Fixed
18	Coupon rate and any related index	5.25 per cent. per annum payable quarterly in arrear on each Periodic Distribution Date from and including the issue date to but excluding 5/10/2027G (the First Reset Date). The return rate shall thereafter reset on the First Reset Date and every five years thereafter, as detailed in the offering circular in relation to the Sukuk.
19	Existence of a dividend stopper	No
20	Fully discretionary, partially discretionary or mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	Yes
22	Non-cumulative or cumulative	Non cumulative
23	Convertible or non-convertible	Non convertible
24	If convertible, conversion trigger(s)	Not applicable
25	If convertible, fully or partially	Not applicable
26	If convertible, conversion rate	Not applicable
27	If convertible, mandatory or optional conversion	Not applicable
28	If convertible, specify instrument type convertible into	Not applicable
29	If convertible, specify issuer of instrument it converts into	Not applicable
30	Writedown feature	Yes
31	If writedown, writedown trigger(s)	Terms of issuance provide the legal basis for the regulator to trigger write down
32	If writedown, full or partial	Can be full or partial
33	If writedown, permanent or temporary	Permanent
34	If temporary write-down, description of writeup mechanism	NA
34a	Type of subordination	Unsecured
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordination (i) constitute Additional Tier 1 Capital of the Bank, (ii) constitute direct, unsecured, unconditional and subordinated obligations of the Bank, (iii) rank subordinate and junior to all Senior Obligations but not further or otherwise, (iv) rank pari passu with all other Pari Passu Obligations and rank in priority only to all Junior Obligations.
36	Non-compliant transitioned features	NA
37	If yes, specify non-compliant features	NA

Table CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments - 31 December 2024

		^a Quantitative / qualitative information
1	Issuer	Riyad Tier 1 Sukuk Limited
2	Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	RIBL 4 PERP
3	Governing law(s) of the instrument	English law (except certain provisions, including those relating to the status and subordination of the Certificates, the Master Purchase Agreement and Sale/Transfer Agreement which shall be governed by Saudi Arabian law)
3a	Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	As per the terms and conditions of the sukuk, the write-down clause is subject to, and superseded by, any applicable statutory loss absorption regime becoming effective in KSA."
4	Transitional Basel III rules	Tier 1
5	Post-transitional Basel III rules	Eligible
6	Eligible at solo/group/group and solo	Solo
7	Instrument type (refer to SACAP)	USD denominated Additional Tier 1 capital sukuk.
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	USD 750 million
9	Par value of instrument	USD 750 million
10	Accounting classification	Capital Instrument Tier 1
11	Original date of issuance	10/3/2024
12	Perpetual or dated	Perpetual
13	Original maturity date	Perpetual Tier 1 Capital (subject to any early redemption as described below)
14	Issuer call subject to prior SAMA approval	(6-month par call) at the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, subject to, amongst other conditions, prior written approval from the Financial Regulator, if then required
15	Optional call date, contingent call dates and redemption amount	The Capital Certificates are perpetual securities in respect of which there is no fixed redemption date may be redeemed prior to the scheduled dissolution date due to: (i) a Capital Disqualification Event, (ii) tax reasons, or (iii) at the option of the Issuer on the Periodic Distribution Date that falls on the 5th anniversary of the Issue Date, and each Periodic Distribution Date thereafter, in each case, subject to the conditions to redemption and repurchase, and as further set out in the terms and conditions of the Capital Certificates
16	Subsequent call dates, if applicable	As above
17	Coupons / dividends	Fixed
18	Fixed or floating dividend/coupon	6.000 per cent for the period from and including the Issue Date to but excluding the First Reset Date. Resets on the First Reset Date and every five years thereafter on the basis of the Relevant Five Year Reset Rate
19	Coupon rate and any related index	No
20	Existence of a dividend stopper	No
21	Fully discretionary, partially discretionary or mandatory	Mandatory
22	Existence of step-up or other incentive to redeem	Yes
23	Non-cumulative or cumulative	Non cumulative
24	Convertible or non-convertible	Non convertible
25	If convertible, conversion trigger(s)	Not applicable
26	If convertible, fully or partially	Not applicable
27	If convertible, conversion rate	Not applicable
28	If convertible, mandatory or optional conversion	Not applicable
29	If convertible, specify instrument type convertible into	Not applicable
30	If convertible, specify issuer of instrument it converts into	Not applicable
31	Writedown feature	Yes
32	If writedown, writedown trigger(s)	Terms of issuance provide the legal basis for the regulator to trigger write down
33	If writedown, full or partial	Can be full or partial
34	If writedown, permanent or temporary	Permanent
35	If temporary write-down, description of writeup mechanism	NA
36	Type of subordination	Unsecured
37	Subordination	(i) constitute Additional Tier 1 Capital of the Bank, (ii) constitute direct, unsecured, unconditional and subordinated obligations of the Bank, (iii) rank subordinate and junior to all Senior Obligations but not further or otherwise, (iv) rank pari passu with all other Pari Passu Obligations and rank in priority only to all Junior Obligations.
38	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	NA
39	Non-compliant transitioned features	NA
40	If yes, specify non-compliant features	NA

CCyB1 - Geographical distribution of credit exposures used in the calculation of the bank-specific countercyclical capital buffer requirement

Geographical breakdown	a	b	c	d	SR 009's
					e
Countercyclical capital buffer rate	Exposure values and/or risk-weighted assets (RWA) used in the computation of the countercyclical capital buffer	Bank-specific countercyclical capital buffer rate	Countercyclical capital buffer amount		
Exposure values	RWA				
Saudi Arabia	0.0%	364,676,472	316,677,386		
Bahrain	2.5%	1,342,054	1,553,033		
Germany	0.8%	1,783,540	951,724		
Italy	0.0%	2,261,546	2,202,111		
Korea S.	1.0%	2,673,268	2,601,513		
Netherlands	2.0%	2,738,279	1,496,161		
Spain	0.0%	1,481,854	1,408,372		
United Arab Emirates	2.5%	1,355,508	1,354,741		
United Kingdom	2.0%	1,003,788	798,488		
United States	0.0%	15,116,197	13,187,206		
Others	0.0%	2,444,881	2,585,737		
Others	0.5%	2,225,785	1,616,240		
Others	1.0%	1,659,699	1,589,619		
Others	1.5%	79,379	89,494		
Others	2.5%	5,598,999	5,183,358		
SUM		20,460,300	17,234,370		
Total		406,641,250	353,295,182	0.08680%	
				24,532	

**LR1- Summary comparison of accounting assets vs leverage ratio exposure measure - 31
December 2024**

		SR 000's
#	Particulars	a
1	Total consolidated assets as per published financial statements	450,378,794
2	Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	
3	Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference	
4	Adjustments for temporary exemption of central bank reserves (if applicable)	
5	Adjustment for fiduciary assets recognised on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	
6	Adjustments for regular-way purchases and sales of financial assets subject to trade date accounting	
7	Adjustments for eligible cash pooling transactions	
8	Adjustments for derivative financial instruments	3,080,774
9	Adjustment for securities financing transactions (ie repurchase agreements and similar secured lending)	
10	Adjustment for off-balance sheet items (ie conversion to credit equivalent amounts of offbalance sheet exposures)	110,126,206
11	Adjustments for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital	
12	Other adjustments	-3,496,993
13	Leverage ratio exposure measure	560,088,781

LR2- Leverage ratio common disclosure

		SR 000's	
		a	b
		Dec-24	Sep-24
On Balance sheet exposures			
1	On-balance sheet exposures (excluding derivatives and securities financing transactions (SFTs), but including collateral)	444,809,842	428,675,423
2	Gross-up for derivatives collateral provided where deducted from balance sheet assets pursuant to the operative accounting framework		
3	(Deductions of receivable assets for cash variation margin provided in derivatives transactions)		
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)		
5	(Specific and general provisions associated with on-balance sheet exposures that are deducted from Basel III Tier 1 capital)		
6	(Asset amounts deducted in determining Basel III Tier 1 capital and regulatory adjustments)		
7	Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of rows 1 to 6)	444,809,842	428,675,423
Derivative exposures			
8	Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin and/or with bilateral netting)	1,572,829	2,961,528
9	Add-on amounts for potential future exposure associated with all derivatives transactions	3,080,774	3,137,399
10	(Exempted central counterparty (CCP) leg of client-cleared trade exposures)		
11	Adjusted effective notional amount of written credit derivatives		
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)		
13	Total derivative exposures (sum of rows 8 to 12)	4,653,603	6,098,926
Securities financing transaction exposures			
14	Gross SFT assets (with no recognition of netting), after adjustment for sale accounting transactions	18,197,154	23,099,346
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)	-17,907,185	-22,386,024
16	Counterparty credit risk exposure for SFT assets	209,160	473,301
17	Agent transaction exposures		
18	Total securities financing transaction exposures (sum of rows 14 to 17)	499,130	1,186,623
Other off balance sheet exposures			
19	Off-balance sheet exposure at gross notional amount	305,205,366	291,337,515
20	(Adjustments for conversion to credit equivalent amounts)	-195,079,160	-185,263,092
21	(Specific and general provisions associated with off-balance sheet exposures deducted in determining Tier 1 capital)		
22	Off-balance sheet items (sum of rows 19 to 21)	110,126,206	106,074,423
Capital and total exposures			
23	Tier 1 capital	67,745,110	62,930,816
24	Total exposures (sum of rows 7, 13, 18 and 22)	560,088,781	542,035,395
Leverage ratio			
25	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves)	12.10%	11.61%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves)	12.55%	12.00%
26	National minimum leverage ratio requirement	3.0%	3.0%
27	Applicable leverage buffers		
Disclosure of mean values			
28	Mean value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	377,536	698,768
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	289,970	713,322
30	Total exposures (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	560,466,317	542,734,164
30a	Total exposures (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	540,126,771	525,192,861
31	Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	12.09%	11.60%

31a	Basel III leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	12.54%	11.98%
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ENC: Asset encumbrance - 31 December 2024

SR 000's

		a	b	c
		Encumbered Assets	Unencumbered Assets	Total
1	The assets on the balance sheet would be disaggregated; there can be as much disaggregation as desired	14,988,522	435,390,272	450,378,794

LIQA – Liquidity Risk Management

Qualitative disclosures:

a) Governance of liquidity risk management

The Bank has a robust risk management and governance framework that covers all material risks. Liquidity risk is deemed to be a material risk for the Bank and is part of the overall risk management framework. The risk management framework comprises of Board and Senior Management committees, a Board-approved Risk Appetite Statement, Liquidity Risk Policy, Internal Liquidity Adequacy Assessment Plan (ILAAP), limit management, monitoring and control framework, and an overarching Enterprise Risk Policy.

The Bank adopts a set of liquidity management strategies that limits the liquidity risk to acceptable levels. The compliance of such internal limits is independently monitored and regularly reported to management and to ALCO. According to the degree of imminence of liquidity/funding risk, risk stages are outlined in the Contingency Funding Plan (CFP). These stages are Precaution, Caution and Crisis. For each of these stages, a specific contingency plan has been laid out.

The policy stipulates activation of the CFP in the event of a major liquidity problem. The CFP delineates responsibilities of selected senior executives and sets out a plan of action to be followed in any emerging or sudden liquidity crisis. In order to manage the liquidity contingency process, senior executives designated in this plan draw support from other key management process already established within the Bank. ALCO, on an ongoing basis provides a forum to exchange information, both internal and external, which can affect the Bank's liquidity.

b) Funding strategy

The formulation of funding strategy for the Bank is integrated with the annual strategic planning process. Annually, the Bank develops a detailed budget for immediate next year and three years rolling forecast. For each asset type, forecast volumes are developed. Based on the forecast volumes and forecast mix, the funding strategy of the Bank is developed.

The funding strategy of the Bank focuses on increasing the customer base of non-interest-bearing stable deposits, diversification of funding sources as well enlarging the product mix and customer base of interest-bearing deposits. It also ensures that there is minimum reliance on the whole sale funding (inter-bank) markets and that the Bank maintains a conservative and healthy repo able investment portfolio.

c) Liquidity risk mitigation techniques

The Bank operates within an approved Liquidity risk appetite which is defined as the level and nature of risk that the Bank is willing to take (or mitigate) in order to safeguard the interests of the depositors whilst achieving business objectives. In addition, the RAS takes into consideration constraints imposed by other stakeholders such as regulators and counterparties.

Funding and Liquidity Risk is deemed to be a material risk for the Bank; the risk appetite for funding and liquidity is conservative and deemed to be low. The liquidity risk appetite statement is approved by the Board. Risk appetite is defined on an annual basis or on an ad hoc basis if there is a significant change in the external environment or business strategy.

In addition, the Bank's liquidity risk management techniques include:

- Pro-actively monitor and manage regulatory liquidity ratios such as Liquidity Coverage Ratio (LCR), Net Stable Funding Ratio (NSFR) and SAMA Liquidity Ratio
- Gap Reports to monitor the mismatch risk
- Concentration Risk limits

d) Stress Testing

The Bank measures its liquidity requirements by undertaking scenario analysis under the normal scenario and three stress scenarios as follows:

Normal/Going-concern scenario – this refers to the normal behavior of cash flows in the ordinary course of business and would form the day-to-day focus of the Bank's liquidity management.

Bank-specific ("Name") crisis scenario – covers the behavior of cash flows where there is some actual or perceived problem specific to the Bank.

Market crisis scenario – covers the behavior of cash flows where there is some actual or perceived problem with the general banking industry.

Combined Scenario – covers severe Bank-specific liquidity shock coupled with a severe market wide liquidity impact. Under combined stress scenario, Bank's liquidity position is considered to be under most pressure compared to other scenarios.

In addition, the Bank has adopted more stringent standards or parameters to reflect its liquidity risk profile and its own assessment of the compliance with the SAMA's LCR standards. The LCR incorporates many of the shocks experienced during the Global Financial Crisis (GFC) into one acute systemic stress for which sufficient liquidity is needed to survive up to 30 calendar days. The Bank adopts a number of liquidity management strategies to control its liquidity risk and ensures that its liquidity requirements can be met even during a crisis situation.

e) Contingency Funding Planning

The objective of the Bank's CFP is to ensure the Bank meets its payment obligations as they fall due under a liquidity crisis scenario. It contains the following:

- An assessment of the sources of funding under different liquidity conditions,
- Liquidity status indicators and metrics and
- Contingency procedures.

Contingency liquidity risk is the risk of not having sufficient funds to meet sudden and unexpected short-term obligations. The CFP references business area action plans and a communications plan. Action plans have been developed for a range of circumstances that might arise in wholesale funding markets. The communications plan aims to reassure principal stakeholders via a rapid communications response to a developing situation. CFP is reviewed annually or if there is a significant change in the external environment or the balance sheet or funding profile of the Bank.

f) Measurement Tools and Metrics:

The Bank measures its liquidity and cashflow positions using various ratios including but not limited to LCR, NSFR, SAMA Liquidity Ratio, Loans to Deposit Ratio (LDR), Depositor Concentration ratio, Intraday indicators to assess the liquidity and funding needs of the Bank. Additionally, Bank monitors the liquidity mismatch gaps, currency gaps etc. The Bank considers all the on-balance sheet and off-balance sheet exposures which impact the liquidity position of the Bank, in its liquidity measurement tools and metrics.

g) Concentration Limits and Sources of Funding

The Bank monitors concentration of its various sources of funds including customer deposits and borrowings. The customer deposit concentration is monitored through various dimensions such as counterparties, products, currencies segments etc. The Bank has established top customer depositor concentration limit as part of its risk appetite to achieve diversification of its customer base and to avoid over reliance on few customers. These measures are reported to ALCO on a monthly basis.

h) Liquidity exposures and funding needs of legal entities, foreign branches and subsidiaries

Funding and liquidity requirements of the Bank's subsidiaries and foreign branches are managed at their level.

i) Balance Sheet Maturity Buckets and Liquidity Gaps

Balance sheet and off-balance sheet items are broken down into maturity buckets and the resultant liquidity gaps. The Bank monitors the liquidity gaps and mismatches of its on/off-balance sheet assets and liabilities. Bank's disclosure on liquidity risk in financial statement shows the mismatches by maturity buckets based on contractual maturities, and non-maturing products are bucketed in overnight bucket.

LIQ1: Liquidity Coverage Ratio (LCR) - 31 December 2024

		SR 000's	
		a	b
		Total unweighted value (average)	Total weighted value (average)
High quality liquid assets			
1	Total HQLA		56,862,538
Cash outflows			
2	Retail deposits and deposits from small business customers, of which:	98,461,093	9,846,109
3	Stable deposits	-	-
4	Less stable deposits	98,461,093	9,846,109
5	Unsecured wholesale funding, of which:	124,640,586	57,428,806
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	-	-
7	Non-operational deposits (all counterparties)	124,640,586	57,428,806
8	Unsecured debt	-	-
9	Secured wholesale funding	1,675,596	1,675,596
10	Additional requirements, of which:	41,111,018	4,224,390
11	Outflows related to derivative exposures and other collateral requirements	125,876	125,876
12	Outflows related to loss of funding on debt products	-	-
13	Credit and liquidity facilities	40,985,143	4,098,514
14	Other contractual funding obligations		
15	Other contingent funding obligation	248,087,306	5,998,525
16	TOTAL CASH OUTFLOWS		79,173,426
Cash inflows			
17	Secured lending (eg reverse repos)	-	-
18	Inflows from fully performing exposures	55,800,075	39,403,223
19	Other cash inflows	542,290	542,290
20	TOTAL CASH INFLOWS		39,945,513
			Total adjusted value
21	Total HQLA		56,862,538
22	Total net cash outflows		39,227,912
23	Liquidity Coverage Ratio (%)		144.95%

LIQ2: Net Stable Funding Ratio (NSFR) - 31 December 2024

SR 000's					
(In currency amount)	a	b	c	d	e
	Unweighted value by residual maturity				Weighted value
	No maturity	<6 months	6 months to < 1 year	≥ 1 year	
Available stable funding (ASF) item					
1 Capital:	72,600,414	-	-	-	72,600,414
2 Regulatory capital	72,600,414	-	-	-	72,600,414
3 Other capital instruments	-	-	-	-	-
4 Retail deposits and deposits from small business customers, of which:	88,477,762	18,361,706	1,601,336	1,023,754	98,620,478
5 Stable deposits	-	-	-	-	-
6 Less stable deposits	88,477,762	18,361,706	1,601,336	1,023,754	98,620,478
7 Wholesale funding:	74,766,723	136,883,310	12,535,565	19,436,061	106,194,568
8 Operational deposits	-	-	-	-	-
9 Other wholesale funding	74,766,723	136,883,310	12,535,565	19,436,061	106,194,568
10 Liabilities with matching interdependent assets	-	-	-	-	-
11 Other liabilities	24,696,151	-	-	-	-
12 NSFR derivative liabilities	-	-	-	-	-
13 All other liabilities and equity not included in the above categories	24,696,151	-	-	-	-
14 Total ASF					277,415,460
Required stable funding (RSF) item					
15 Total NSFR high-quality liquid assets (HQLA)					2,489,832
16 Deposits held at other financial institutions for operational purposes					
17 Performing loans and securities:	-	147,134,866	38,916,243	178,251,204	236,885,255
18 Performing loans to financial institutions secured by Level 1 HQLA		-	-	-	-
19 Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions	-	22,724,016	458,895	1,997,221	5,635,271
20 Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:	-	112,970,081	35,589,767	165,217,894	214,715,134
21 With a risk weight of less than or equal to 35% under the Basel II standardised approach for credit risk	-	-	-	-	-
22 Performing residential mortgages, of which:	-	-	-	-	-
23 With a risk weight of less than or equal to 35% under the Basel II standardised approach for credit risk	-	-	-	2,407,789	1,565,063
24 Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	-	11,440,768	2,867,581	11,036,089	16,534,850
25 Assets with matching interdependent liabilities	-	-	-	-	-
26 Other assets:	16,733,573	1,187,009	-	-	17,742,531
27 Physical traded commodities, including gold	-	-	-	-	-
28 Assets posted as initial margin for derivative contracts and contributions to default funds of central counterparties		1,187,009	-	-	1,008,958
29 NSFR derivative assets		-	-	-	-
30 NSFR derivative liabilities before deduction of variation margin posted		-	-	-	-
31 All other assets not included in the above categories	16,733,573	-	-	-	16,733,573
32 Off-balance sheet items				42,448,598	2,122,430
33 Total RSF					259,240,048
34 Net Stable Funding Ratio (%)					107.01%

Table CRA: General qualitative information about Credit Risk

a) Business Model & Credit Risk Profile

The Bank has a robust Credit Risk Management Framework (CRMF), Credit Policy and related processes to adequately control and monitor the credit risk in the Bank. Besides, the Bank has cascaded risk appetite to credit risk through qualitative statement and quantitative metrics to ensure the stable credit risk profile of the Bank.

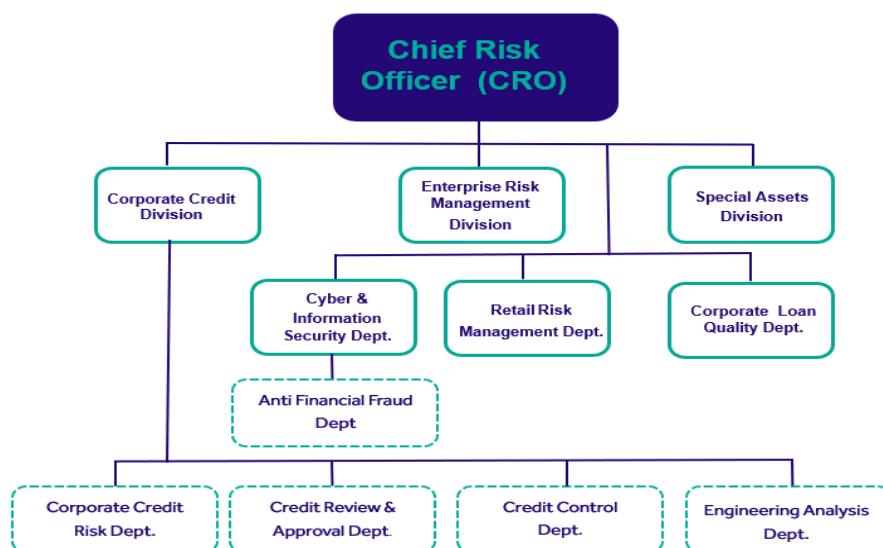
For the purposes of aligning business model to Bank's credit risk profile, the Bank has defined the targeted sectors for different segments. In addition, the Bank has defined criteria in the form of Business Acceptance Criteria (BAC) for any customer to enter into a relationship with the Bank. All these parameters assist the Bank to balance business profiling to Credit Risk.

b) Criteria and approach used for defining credit risk management policy and for setting credit risk limits

The Credit Risk Manual is an integral part of CRMF. It provides details of the Bank's strategy towards the granting of credit limits and the management of associated credit risk. It deals with the details of the principles, standards, risk manuals and processes related to the Bank's operations. The audience of the Credit Policy are the Relationship Managers and the credit sanctioning authorities such as the Credit Review and Approval Department and the Credit Committees, along with the personnel engaged in the evaluation, measurement, management and monitoring of risk.

c) Structure and organization of the credit risk management and control function

The Credit Risk Management Structure within the Bank but not limited too is shown in the diagram below:



d) Relationships between the credit risk management, risk control, compliance and internal audit functions

There are control functions responsible for oversight monitoring, design and implementation of internal controls, including but not limited to the following:

Credit risk management aims at preserving the high credit quality of portfolios and thereby protecting the Bank's short-and long-term viability. The Bank's credit risk management builds on the principles of:

1. Appropriate risk diversification within the scope of the mission;
2. Thorough risk assessment at the credit appraisal stage;
3. Risk-based pricing and application of risk mitigation techniques;
4. Continuous risk monitoring at the individual/ counterparty level as well as at portfolio level;
5. Avoidance of undesirable risks to the extent possible. Key risk indicators monitored are, among others, the development in risk class distribution in the lending and treasury portfolios, as well as, large exposures to individual counterparties, sectors and countries.

In addition, the Bank has established Internal Control system duly comprised of three lines of defense to ensure an effective internal control environment, in line with the 'Guidelines on Internal Control' issued by SAMA. Given below is the brief on Bank's Three Lines of Defense model:

- The first line of defense: Divisions and departments who are owners of risks within their respective lines of business, support function or control functions.
- The second line of defense: All risk oversight functions which are responsible for oversight or risk owned by the first line of defense.
- The third line of defense: Internal Audit.

Compliance function as part of the second line is separately conducted by the Bank's Compliance Department with reporting lines to the Bank's CEO. Bank has implemented an Integrated Internal Control and Reporting Governance policy which clearly sets out the roles and responsibilities of the executive management and various committees.

Internal audit function is an independent function providing assurance over effectiveness of controls over Bank's activities and reports to Board Audit Committee. Internal Audit annually assess various aspects of credit risk on sample basis within Bank's corporate and retail portfolios.

e) Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the board of directors

The Bank requires management reporting from various risk management functional divisions/departments on a regular basis and ad-hoc basis. Information compiled from all the business areas is to be examined and processed in order to analyze, control and identify early warning signals, emerging risks in line with their respective assigned roles and responsibilities.

Several reports are provided to the BoD, Senior Management and other relevant committees including but not limited to:

- Asset Quality Report
- Weekly Report (Loan Portfolio Movement)
- Economic sector ceiling

	a	b	c	d	e	f	g
	Gross carrying values of		Allowances/ impairments	Of which ECL accounting provisions for credit losses on SA exposures		Of which ECL accounting provisions for credit losses on IRB exposures	Net values (a+b-c)
	Defaulted exposures	Nondefaulted exposures		Allocated in regulatory category of Specific	Allocated in regulatory category of General		
1 Loans	4,023,745	321,367,294	5,301,548	3,675,987	1,625,561		320,089,491
2 Debt Securities	846,413	62,788,815	487,438	399,954	87,484		63,147,790
3 Off-balance sheet exposures	1,026,195	178,666,220	550,253	481,663	68,590		179,142,162
4 Total	5,896,353	562,822,329	6,339,239	4,557,603	1,781,635	-	562,379,443

Table CR2: Changes in stock of defaulted loans and debt securities - 31 December 2024

		SR 000's
		a
1	Defaulted loans and debt securities at end of the previous reporting period	5,112,176
2	Loans and debt securities that have defaulted since the last reporting period	
3	Returned to non-defaulted status	
4	Amounts written off	-896,376
5	Other changes	654,359
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4+5)	4,870,159

Table CRB: Additional disclosure related to the credit quality of assets

a) Scope and definitions of “past due” and “impaired” exposures

A default occurs when the client is past due for more than 90 days on a material credit obligation as per the materiality threshold set by the Bank.

b) The extent of past-due exposures (> than 90 days) that are not considered to be impaired and the reasons for it

The Bank will generally adhere to the 90-day past due (DPD) on a material credit rule in identifying impaired exposures. However, certain past-due exposures exceeding 90 days may not be classified as impaired if supported by robust, well-documented evidence indicating the ability of the borrower to meet its obligation. Such exceptions must be subject to rigorous scrutiny, ensuring that all justifications are clearly documented and aligned with regulatory expectations and internal policies. The evidence should demonstrate that the delay in payments is not indicative of credit impairment but rather attributable to temporary factors or operational delays that do not compromise the borrower's creditworthiness.

c) Description of methods used for determining impairments

In accordance to IFRS 9 Standard, an assessment is made at each reporting date to determine whether there is objective evidence that a financial asset or group of financial assets may be impaired. If such evidence exists, the estimated recoverable amount of that asset is determined and any impairment loss, based on the net present value of future anticipated cash flows, is recognized for changes in its carrying amounts.

Objective evidence that financial assets are impaired can include default or delinquency by a borrower, forbearance of a loan or advance by the group on the terms that the Bank would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of active market for a security or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers. It may also include instances where the Bank considers that the obligor is unlikely to pay its credit obligations to the Bank, in full, without recourse by the Bank to actions such as realizing the security, if held.

d) The Bank's own definition of a restructured exposure

Restructuring occurs when there is a change or modification of the terms and conditions of the original exposure contract. Restructuring may only occur in the form of either:

- Renegotiation
- Refinancing
- Rescheduling
- Forbearance

The determination of whether restructuring results in forbearance or renegotiation is based on whether the modified terms of the original exposure contract is concessionary, as a result of the financial difficulty of the borrower.

CREDIT RISK: GENERAL DISCLOSURES - 31 December 2024
Table CRB: Additional disclosure related to the credit quality of assets SAR '000'
Geographic Breakdown

Asset Classes	Saudi Arabia	Other GCC & Middle East	Europe	North America	Latin America	South East Asia	Other Countries	Total
Due from banks and other financial institutions	13,258,785	872,036	536,215	5,556,317	-	71,233	2,279,498	22,574,084
Investments, net	44,478,683	1,487,171	14,930,138	4,246,037	29,422	4,932	-	65,176,383
Loans and advances, net	307,282,780	5,811,250	5,225,867	1,227,592	405,147	81,710	55,145	320,089,491
Overdraft	5,681,008	-	-	-	-	-	-	5,681,008
Credit cards	1,715,251	-	-	-	-	-	-	1,715,251
Consumer loans	94,234,794	-	-	-	-	-	-	94,234,794
Commercial loans	203,015,913	5,811,250	5,225,867	1,227,592	405,147	81,710	55,145	215,822,624
Others	2,635,814	-	-	-	-	-	-	2,635,814
Total	365,020,248	8,170,457	20,692,220	11,029,946	434,569	157,875	2,334,643	407,839,958

CREDIT RISK: GENERAL DISCLOSURES - 31 December 2024
Table CRB: Additional disclosure related to the credit quality of assets SAR '000'
Maturity Breakdown

Asset Classes	Within 3 months	3-12 months	1-5 years	Over 5 years	No fixed maturity	Total
Due from banks and other financial institutions	22,574,084	-	-	-	-	22,574,084
Investments, net	4,616,812	10,316,797	17,252,029	31,446,126	1,544,619	65,176,383
Loans and advances, net	88,970,998	45,421,669	80,773,097	104,923,727	-	320,089,491
Overdraft	5,681,008	-	-	-	-	5,681,008
Credit cards	1,715,251	-	-	-	-	1,715,251
Consumer loans	125,737	642,187	28,579,327	64,887,543	-	94,234,794
Commercial loans	78,813,188	44,779,482	52,193,770	40,036,184	-	215,822,624
Others	2,635,814	-	-	-	-	2,635,814
Total	116,161,894	55,738,466	98,025,126	136,369,853	1,544,619	407,839,958

CREDIT RISK: GENERAL DISCLOSURES - 31 December 2024

Table CRB: Additional disclosure related to the credit quality of assets SAR '000'

Industry Sector	Performing	Non performing	Allowance for impairment	Loans and advances, net
Government and quasi Government	2,972,657	-	(1,294)	2,971,363
Banks and other financial institutions	20,553,474	-	(68,184)	20,485,290
Agriculture and fishing	1,223,758	3,637	(6,644)	1,220,751
Manufacturing	27,197,758	395,054	(780,720)	26,812,092
Mining and quarrying	8,915,691	1,558	(8,132)	8,909,117
Electricity, water, gas and health services	28,329,642	8,701	(22,015)	28,316,328
Building and construction	18,877,436	152,218	(827,386)	18,202,268
Commerce	83,915,661	1,021,291	(1,501,755)	83,435,197
Transportation and communication	3,744,271	111,103	(31,281)	3,824,093
Services	21,819,029	222,672	(539,905)	21,501,796
Consumer loans and credit cards	96,203,251	1,257,290	(1,510,497)	95,950,044
Others	8,464,887	-	(3,735)	8,461,152
Total	322,217,515	3,173,524 -	5,301,548	320,089,491

CREDIT RISK: GENERAL DISCLOSURES - 31 December 2024
Impaired Loans, Past Due Loans and Allowances SAR '000'

Industry Sector	Nonperforming loans and advances	Ageing of loans and advances (Excluding non-performing loans)				Charges during the period	Charge-offs during the period	Balance at the end of the period
		31-90	91-180	181-360	Over 360			
Government and quasi government	-	-	-	-	-	(186)	-	1,294
Banks and other financial institutions	-	-	-	-	-	29,948	-	68,184
Agriculture and fishing	3,637	1,642	-	-	-	(5,635)	-	6,644
Manufacturing	395,054	95,046	13,932	2,842	-	95,386	(72,568)	780,720
Mining and quarrying	1,558	-	-	-	-	(1,673)	(124)	8,132
Electricity, water, gas and health services	8,701	92,032	1,538	-	-	(26,541)	(320)	22,015
Building and construction	152,218	1,211,121	41,179	-	-	(115,813)	(417,176)	827,386
Commerce	1,021,291	226,474	251,418	8,891	-	736,966	(80,352)	1,501,755
Transportation and communication	111,103	1,048	147	-	-	22,305	(1,709)	31,281
Services	222,672	80,396	17,226	1,184	-	353,933	(7,244)	539,905
Consumer loans and credit cards	1,257,290	1,377,871	397,026	-	-	1,125,637	(743,486)	1,510,497
Others	-	-	-	-	-	(4,903)	-	3,735
Portfolio provision	-	-	-	-	-	-	-	-
Total	3,173,524	3,085,631	722,466	12,917	-	2,209,424	-	5,301,548

Definitions: * 'Defaulted' are Loans that are Past Due over 90 days, but not yet Impaired

CREDIT RISK: GENERAL DISCLOSURES - 31 December 2024
SAR '000'

Geographic Area	Impaired Loans	Ageing of loans and advances (Excluding non-performing loans)				Specific Allowances
		31-90	91-180	181-360	Over 360	
Saudi Arabia	3,173,524	3,085,631	722,466	12,917	-	5,301,548
Other GCC & Middle East	-	-	-	-	-	-
Europe	-	-	-	-	-	-
North America	-	-	-	-	-	-
South East Asia	-	-	-	-	-	-
Others countries	-	-	-	-	-	-
Total	3,173,524	3,085,631	722,466	12,917	-	5,301,548

CREDIT RISK: GENERAL DISCLOSURES - 31 December 2024

Reconciliation Of Changes In The Allowances For Loan Impairment SAR '000'

Particulars	Specific Allowances
Balance, beginning of the year	4,922,319
Charge-offs taken against the allowances during the period	(1,322,979)
Amounts set aside (or reversed) during the period	2,209,424
Other adjustments:	-
- exchange rate differences	-
- business combinations	-
- acquisitions and disposals of subsidiaries	-
- etc.	(507,216)
Transfers between allowances	-
Balance, end of the year	5,301,548

Note: Charge-offs and recoveries have been recorded directly to the income statement.

'other adjustments' represents write-offs that have been charged to P&L in previous years

Table CRB-A: Additional disclosure related to Prudential Treatment of Problem Assets

a) The Bank's own definition of non-performing exposures

Default (Non-Performing Loans) is broadly defined as either non-payment of a material financial obligation for more than 90 days or occurrence of events that would lead the Bank to consider that the obligor is unlikely to service its credit obligations to the Bank.

An exposure ceases to be non-performing and can be recategorized as performing once the counterparty does not have any material exposure more than 90 days past due, repayments have been made when due over a continuous repayment period, the counterparty's condition has improved so that the full repayment of the exposure is likely.

b) The Bank's own definition of a forbore exposure

The definition of forbearance in the Bank is based on meeting two conditions together for any borrower, that the borrower is experiencing financial difficulty in meeting the financial commitments, and the Bank granting a concession that it would not otherwise consider in normal circumstances. The forbearance is based on a Bank's judgment that the loan will not be repaid fully and in time under the current circumstances, and action is needed in view of the borrower's deteriorating situation.

The obligor under the Forbearance category will be reclassified as performing based on the satisfactory repayment and performance of the obligor over a stipulated period. Based on the Bank's assessment of the customer's performance, the obligor may be reclassified as performing.

Table CRB-A (C) – Additional disclosure related to prudential treatment of problem assets

SR 000's						
	Gross carrying values of		Defaulted exposure (Stage 3)			Allowances/ impairments
	Performing	Non-Performing	Non-performing/ impaired	Non- defaulted/ impaired exposures but are more than 90 days past due	Other exposures*	
1 Loans Corporate	224,072,563	2,766,455	1,916,234	235,151	615,070	3,688,336
2 Loans Retail	96,203,251	1,257,290	1,257,290	-	-	1,510,497
3 Debt Securities	65,495,261	846,413	846,413			487,438
4 Off-balance sheet exposures	135,537,953	1,026,195	939,297	18,045	68,853	550,252

*other exposures where there is evidence that full repayment is unlikely without the bank's realisation of collateral (which would include exposures that are not defaulted/impaired and are not more than 90 days past due but for which payment is unlikely without the bank's realisation of collateral, even if the exposures are not past due

Table CRB-A (D) – Additional disclosure related to prudential treatment of problem

		Gross carrying values of		SR 000's
		Performing	Non-Performing	Allowances/ impairments
1	Loans Corporate	42,317	57,109	22,972
2	Loans Retail	1,177,650	32,086	33,415
3	Debt Securities			
4	Off-balance sheet exposures	6,941	10,698	12

Table CRC: Qualitative disclosure requirements related to credit risk mitigation techniques

a) Core features of policies and processes for, and an indication of the extent to which the bank makes use of, on- and off-balance sheet netting.

On- and off-balance sheet netting can reduce regulatory capital requirements. Where the Bank has legally enforceable netting arrangements for loans and deposits that meet the regulatory requirements, the Bank may calculate capital requirements on the basis of net credit exposures.

b) Core features of policies and processes for collateral evaluation and management

Eligible collaterals are detailed as per the Bank's policy. Several types of collaterals are subject to valuation at origination and revaluation on a regular basis. Valuation is based on the current market value of the collateral. The Bank maintains and updates a list of approved external valuers and surveyors on a regular basis. The Bank also monitors the market value of the collateral and requests additional collateral in accordance with the underlying agreement when deemed necessary.

Documentation and files of each credit facility are checked at least once a year at the review dates to ensure that all authorizations, maturity dates, appraisals and relevant information are up to date.

c) Information about market or credit risk concentrations under the credit risk mitigation instruments

The Bank employs a diverse range of guarantors to mitigate credit risk, including government agencies, financial institutions, and corporate entities. This diversification helps to reduce our exposure to any single guarantor type. Collateral portfolio includes a variety of assets such as real estate, cash deposits, and securities. The value and type of collateral are regularly assessed to ensure they meet the Bank's policy and provide adequate coverage. The Bank use of derivative is back-to-back, primarily for the purpose of managing client related exposures and is not intended for proprietary trading. The Bank carefully monitors concentrations in derivative exposures to individual counterparties, ensuring no undue concentration of credit risk with any single entity.

Table CR3: Credit risk mitigation techniques - overview - 31 December 2024

SR 000's

		a	b	c	d	e
		Exposures unsecured: carrying amount	Exposures to be secured	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
1	Loans	290,856,635	29,232,856	21,166,960	4,599,701	
2	Debt securities	62,301,457	846,333	-	846,333	
3	Total	353,158,092	30,079,189	21,166,960	5,446,034	-
4	Of which defaulted	4,821,932	48,226	22,126		

Table CRD: Qualitative disclosures on banks' use of external credit ratings under the standardized approach for credit risk

a) "Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs)

The Bank uses Moody's, Standard & Poor's and Fitch as External Credit Assessment Institutions (ECAIs) in accordance with SAMA and Bank for international Settlement (BIS).

b) The asset classes for which each ECAI or ECA is used;

Eligible ECAIs are used across several asset classes including not limited to the following:

- Sovereigns
- Central Banks
- Banks
- Corporates and Securities Firms

c) A description of the process used to transfer the issuer to issue credit ratings onto comparable assets in the banking

Paragraph 107-109 of Basel III: Finalizing post-crisis reforms issued in December 2017 details the full description of the process used to transfer the issuer to issue credit ratings onto comparable assets in the banking.

d) The alignment of the alphanumerical scale of each agency used with risk buckets.

The alignment of the alphanumerical scale of each agency used with risk buckets follows SAMA allocations of the eligible ECAIs' ratings to the corresponding risk weights within the standardized approach, determining which rating categories match specific risk weights. The following mapping of ECAI ratings is used and is subject to review by SAMA:

Bucket	Moody's	S&P	Fitch
1	Aaa	AAA	AAA
	Aa1	AA+	AA+
	Aa2	AA	AA
	Aa3	AA-	AA-
2	A1	A+	A+
	A2	A	A
	A3	A-	A-
3	Baa1	BBB+	BBB+
	Baa2	BBB	BBB
	Baa3	BBB-	BBB-
4	Ba1	BB+	BB+
	Ba2	BB	BB
	Ba3	BB-	BB-
	B1	B+	B+
	B2	B	B
	B3	B-	B-
5	Caa1	CCC+	CCC+
	Caa2	CCC	CCC
	Caa3	CCC-	CCC-
	Ca	CC	CC
	C	C	C
	D	D	D
6	Unrated	Unrated	Unrated

CR4: Standardised approach – credit risk exposure and credit risk mitigation (CRM) effects – 31 December 2024

SR 000's

	Asset Classes	a	b	c	d	e	f
		Exposures before CCF and CRM		Exposures post-CCF and post-CRM		RWA and RWA Density	
		On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA Density
1	Sovereigns and their central banks	66,134,444	753,738	66,134,444	75,748	1,792,987	0.03
2	Non-central government public sector entities	-	22,133	-	15,000	7,500	0.50
3	Multilateral development banks	75,893	-	75,893	-	-	-
4	Banks	27,732,962	15,825,870	24,566,859	8,152,540	8,657,911	0.26
	Of which: securities firms and other financial institutions	-	-	-	-	-	-
5	Covered bonds	-	-	-	-	-	-
6	Corporates	198,073,455	271,161,105	173,826,060	95,170,891	261,156,635	0.97
	Of which: securities firms and other financial institutions	-	2,497,602	10,589,852	505,998	10,005,668	0.90
	Of which: specialised lending	-	17,886,289	23,301,434	5,869,633	34,259,919	1.17
7	Subordinated debt, equity and other capital	3,185,052	-	3,185,052	-	5,151,307	1.62
8	Retail	34,859,012	10,287,511	33,133,332	1,039,924	26,225,601	0.77
	MSMEs	-	853,815	27,934	72,709	75,483	0.75
9	Real estate	97,910,303	6,081,304	95,617,552	832,945	57,232,444	0.59
	Of which: general RR	-	3,111,555	65,285,586	311,155	22,819,664	0.35
	Of which: IPRRE	-	-	-	-	-	-
	Of which: general CRE	-	-	-	-	-	-
	Of which: IPCR	-	84,063	3,500,288	26,627	3,049,807	0.86
	Of which: land acquisition, development and construction	-	1,118,384	10,353,021	215,115	15,833,542	1.50
10	Defaulted exposures	4,430,645	1,073,705	2,165,559	229,085	2,672,793	1.12
11	Other assets	11,965,237	-	11,965,237	-	9,704,786	0.81
12	Total	444,367,002	305,205,366	410,669,988	105,516,132	372,601,963	0.72

		SR 000's																		
		0%	20%	25%	30%	40%	45%	50%	70%	75%	80%	85%	90%	100%	110%	130%	150%	250%	Other	Total credit exposure amount (post-CCF and post-CRM)
1	Sovereigns and their central banks	60,690,953	4,656,964					1,360						860,914						66,210,191
	Non-central government public sector entities							15,000												15,000.00
3	Multilateral development banks	75,893																		75,892.73
4	Banks		19,633,812		10,995,019	-		1,520,438		12,494				346,801			210,835		-	32,719,399
	Of which: securities firms and other financial institutions		-		-	-		-		-				-			-		-	-
5	Covered bonds																			-
6	Corporates		1,147,662					12,567,780		5,346,941	2,254,254	34,572,520		193,051,189		18,465,675	1,590,931		-	268,996,951
	Of which: securities firms and other financial institutions		258,607					1,205,234		1,271,268				8,286,469			74,273			11,095,850
	Of which: specialised lending										2,254,254			8,451,138		18,465,675				29,171,067
	Subordinated debt, equity and other capital																2,560,382	345,847	278,824	3,185,052
8	Retail						785,379			30,062,785				3,325,091					-	34,173,255
	MSMEs									100,643										100,643
9	Real estate	-	6,734,889	4,786,816	17,835,533	32,042,339	-	4,148,139	1,257,723	8,668		8,180,714	1,731,605	8,606,646	586,612		10,530,812		-	96,450,497
	Of which: general RRE	-	6,734,889	4,786,816	17,835,533	32,042,339		4,148,139	49,025	-	-	-	-	-		-	-	-	-	65,596,741
	Of which: no loan splitting applied	-	6,734,889	4,786,816	17,835,533	32,042,339		4,148,139	49,025										-	65,596,741
	Of which: loan splitting applied (Secured)		-																-	-
	Of which: loan splitting applied (Unsecured)	-	-		-	-		-		-	-	-		-			-		-	-
	Of which: IPRRE																			-
	Of which: general CRE	-	-		-	-		-		-	-	-		-			-		-	-
	Of which: no loan splitting applied																			-
	Of which: loan splitting applied (Secured)																			-
	Of which: loan splitting applied (Unsecured)																			-
	Of which: IPCRE								1,206,695				1,731,605		586,612				-	3,524,912
	Of which: land acquisition, development and construction													37,323			10,530,812		-	10,568,136
10	Defaulted exposures							197,073						1,444,200			753,371		-	2,394,644
11	Other assets	2,260,451	-											9,704,786				-		11,965,237
12	Total	63,027,297	32,173,328	4,786,816	28,830,552	32,042,339	785,379	18,449,790	1,257,723	35,430,887	2,254,254	42,753,234	1,731,605	217,339,628	586,612	18,465,675	15,646,330	345,847	278,824	516,186,120

Exposure amounts and CCFs applied to off-balance sheet exposures, categorised based on risk bucket of converted exposures

	a	b	C	D
Risk Weight	On-balance sheet exposure	Off-balance sheet exposure (pre-CCF)	Weighted average CCF*	Exposure (post-CCF and post CRM)
1 Less than 40%	123,542,198	19,553,648	0.4318	128,817,993
2 40-70%	46,357,364	25,557,073	0.3278	52,535,232
3 75%	32,052,191	11,224,792	0.3460	35,430,887
4 80- 85%	42,416,505	32,012,420	0.3500	45,007,488
5 90-100%	167,300,768	201,224,241	0.3599	219,071,233
6 105-130%	16,256,341	14,008,101	0.3999	19,052,287
7 150%	16,095,788	1,625,089	0.2954	15,925,154
8 250%	345,847	-		345,847
9 400%	-	-		-
10 1250%	-	-		-
11 Total exposures	444,367,002	305,205,366		516,186,120

* Weighting is based on off-balance sheet exposure (pre-CCF).

Table CCRA: Qualitative disclosure related to counterparty credit risk

a) The method used to assign the operating limits defined in terms of internal capital for counterparty credit exposures and for CCP exposures:

All exposures including exposures to a central counterparty (CCP) are subject to continuous monitoring of events/signals that could potentially lead to or indicate a material change in risk.

The monitoring of limits for counterparty credit exposure is carried out by Risk Management on a daily basis against applicable limits. Limit breaches are reported to senior management.

The Bank has developed and designed an internal risk assessment framework that defines the client's risk profile based on its industry, region, country, product suitability and awareness, required maturity and other relevant information, to set the appropriate risk limits.

b) Policies relating to guarantees and other risk mitigants and assessments concerning counterparty risk, including exposures towards CCPs

The Bank has developed and implemented a credit risk management process to ensure prudent and timely risk identification, quantification, monitoring and reporting of exposures. All counterparties are assessed in conjunction with the Bank's counterparty risk appetite benchmarks and internal risk matrix.

Senior management and the board of directors are responsible for setting risk tolerances for CCR; measuring, monitoring, and controlling CCR risk exposures; and developing and implementing effective policies and procedures. Senior management receives comprehensive CCR exposure reports on a frequent basis. The Bank has established collateral management guidelines which defines eligible collateral, currency, threshold, minimum transfer amount and eligible collaterals.

All exposures with Financial Counterparties and CCPs are subject to daily variation margins and/or initial margins and are closely monitored against mark to market valuations of underlying transactions

c) Policies with respect to wrong-way risk (WWR) exposures;

This is governed by Financial Institution Matrix that has an inverse relationship. When the counterparty rating has improved and credit risk is low it enjoys high operating limits to prevent wrong way risk. The Bank regularly assesses the potential exposure that the Bank may have to wrong way risk which are likely to lead to this risk.

d) The impact in terms of the amount of collateral that the bank would be required to provide given a credit rating downgrade.

The Bank has standard documentation in place that allows in case of credit rating downgrade, to embed impacts of such downgrade in the covenant for monitoring purposes and also at the same time allows the Bank to call off/terminate such facility and request for additional collateral to mitigate such risk.

CCR1: Analysis of CCR exposures by approach - 31 December 2024

SR 000's						
	a	b	c	d	e	f
	Replacement cost	Potential future exposure	Effective EPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1 SA-CCR (for derivatives)	1,123,449	1,942,927		1.4	4,292,927	4,112,218
2 Internal Model Method (for derivatives and SFTs)						
3 Simple Approach for credit risk mitigation (for SFTs)						
4 Comprehensive Approach for credit risk mitigation (for SFTs)					499,130	148,696
5 Value-at-risk (VaR) for SFTs						
6 Total						4,260,914

CCR3: Standardised approach - CCR exposures by regulatory portfolio and risk weights - 31 December 2024

SR 000's										
		a	b	c	d	e	f	g	h	i
Regulatory portfolio* ↓	Risk weight* →	0%	10%	20%	50%	75%	100%	150%	Others	Total credit exposure
Sovereigns										-
Non-central government public sector										-
Multilateral development banks										-
Banks				1,077,272		46,189				1,123,461
Securities firms										-
Corporates				50,345	84,272	149,586	2,186,297			2,470,501
Regulatory retail portfolios										-
Other assets									1198095.717	1,198,096
Total		-	-	1,127,617	84,272	195,775	2,186,297	-	1,198,096	4,792,057

CCR5: Composition of collateral for CCR exposure - 31 December 2024

	SR 000's					
	a	b	c	d	e	f
	Collateral used in derivative transactions				Collateral used in SFTs	
	Fair value of collateral received		Fair value of posted collateral			
	Segregated	Unsegregated	Segregated	Unsegregated	Fair value of collateral received	Fair value of posted collateral
Cash - domestic currency		64,360		29,160		
Cash - other currencies		2,232,590	1,268,843	694,653	81,966	46,840
Domestic sovereign debt						
Other sovereign debt						
Government agency debt						
Corporate bonds						
Equity securities						
Other collateral						
Total	-	2,296,950	1,268,843	723,813	81,966	46,840

CCR8: Exposures to central counterparties - 31 December 2024

		SR 000's	
		a	b
		EAD (post-CRM)	RWA
1	Exposures to QCCPs (total)		7,214
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which		
3	(i) OTC derivatives	360,676	7,214
4	(ii) Exchange-traded derivatives		
5	(iii) Securities financing transactions		
6	(iv) Netting sets where cross-product netting has been approved		
7	Segregated initial margin	1,268,843	
8	Non-segregated initial margin		
9	Pre-funded default fund contributions		
10	Unfunded default fund contributions		
11	Exposures to non-QCCPs (total)		
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which		
13	(i) OTC derivatives		
14	(ii) Exchange-traded derivatives		
15	(iii) Securities financing transactions		
16	(iv) Netting sets where cross-product netting has been approved		
17	Segregated initial margin		
18	Non-segregated initial margin		
19	Pre-funded default fund contributions		
20	Unfunded default fund contributions		

Table SECA: Qualitative disclosure requirements related to securitization exposures

Bank's objectives in relation to securitization and re-securitization activity

Currently, the bank is neither the originator, sponsor nor investor for any Securitization exposure.

Details of SPEs/Affiliated entities where Bank is acting as sponsor

Not applicable as bank doesn't have any exposure

Summary of the bank's accounting policies for securitization activities.

Not applicable as bank doesn't have any exposure

Names of external credit assessment institution (ECAIs) used for securitizations

Not applicable as bank doesn't have any exposure

Basel internal assessment approach (IAA)

Not applicable to Riyad Bank

SEC4: Securitisation exposures in the banking book and associated capital requirements - bank acting as investor - 31 December 2024

		SR 000's																
		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
		Exposure values (by risk weight bands)					Exposure values (by regulatory approach)				RWA (by regulatory approach)				Capital charge after cap			
		<=20%	>20% to 50%	>50% to 100%	>100% to <1250%	1250%	SEC-IRBA	SEC-IRBA and SEC-IAA	SEC-SA	1250%	SEC-IRBA	SEC-IRBA and SEC-IAA	SEC-SA	1250%	SEC-IRBA	SEC-IRBA and SEC-IAA	SEC-SA	1250%
1	Total Exposures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2	Tradition securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
3	of which securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4	of which retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5	of which STC	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6	of which wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
7	of which STC	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8	of which re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9	Synthetic securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
10	of which securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
11	of which retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12	of which wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13	of which re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

SEC1: Securitisation exposures in the banking book - 31 December 2024
SR 000's

		a	b	c	d	e	f	g	h	i	j	k	l
		Bank acts as originator				Bank acts as sponsor				Bank acts as investor			
		Traditional	Of which simple, transparent and comparable (STC)	Synthetic	Sub-total	Traditional	Of which STC	Synthetic	Sub-total	Traditional	Of which STC	Synthetic	Sub-total
1	Retail (total) - of which	-	-	-	-	-	-	-	-	-	-	-	-
2	residential mortgage	-	-	-	-	-	-	-	-	-	-	-	-
3	credit card	-	-	-	-	-	-	-	-	-	-	-	-
4	other retail exposures	-	-	-	-	-	-	-	-	-	-	-	-
5	resecuritisation	-	-	-	-	-	-	-	-	-	-	-	-
6	Wholesale (total) - of which	-	-	-	-	-	-	-	-	-	-	-	-
7	loans to corporates	-	-	-	-	-	-	-	-	-	-	-	-
8	commercial mortgage	-	-	-	-	-	-	-	-	-	-	-	-
9	lease and receivables	-	-	-	-	-	-	-	-	-	-	-	-
10	other wholesale	-	-	-	-	-	-	-	-	-	-	-	-
11	resecuritisation	-	-	-	-	-	-	-	-	-	-	-	-

Table MRA: Qualitative disclosure requirements related to market risk

Risk management Objectives and Policies

The market risk activities are governed by the board approved Market Risk Management Framework. The Market Risk Management Framework defines the roles and responsibilities, the Bank's market risk appetite, and the relevant operating policies and procedures to monitor and control market risk activities. Furthermore, the Bank established the Market Risk Guidelines and the Trading Book Guidelines to govern the trading activities as per the appetite set by the Board.

a) Strategies and processes of the bank

1) The Bank's risk management strategy is to support the Bank's corporate and strategic objectives within the Risk Appetite set by the Board through effective controls and monitoring. The Bank's trading activities are guided by Asset and Liability Committee (ALCO) within the strategic objective of market risk averseness

2) The Bank engages in trading activities across various asset classes. Derivative transactions are primarily executed on back-to-back basis to fulfill customer requirements and mitigate associated market risks. All net open trading positions are subject to daily monitoring and reporting, against Value-at-Risk and Stop-Loss limits.

3) The Bank has an independent Market & Liquidity Risk Management Department (MLRM) within its Enterprise Risk Management Division which is responsible for identification, measurement, monitoring and reporting of market risk. The function closely monitors and reports inherent market risks related to the trading activities of the Bank.

4) The Bank has approved policies and processes to conduct Fair Value and Cashflow hedges to hedge its balance sheet assets and liabilities items. The designation of hedges is reviewed by the Treasury Risk Section including the monitoring and effectiveness testing of all hedging and hedged instruments. The hedging strategies are reviewed by the ALCO.

5) The Bank's trading Activities are governed by The Trading Book Guidelines as well as The Market Risk Framework. The Trading Book Guidelines establishes a clear definition of the trading book and defines the activities classified as "trading" in nature. The Bank's policies prohibit reassignment of the regulatory books classification and any deviation from the policies requires SAMA approval.

6) The Bank does not engage in any internal risk transfer activities.; The Trading Book Guidelines addresses the regulations of undertaking any risk transfer activities

b) Structure and organization of the market risk management function

Asset and Liability Committee (ALCO) oversees the effective management of the assets and liabilities of the Bank in order to maximize shareholder value, support business growth and optimize capital and its utilization. In doing so, it protects the institution from any adverse consequences. It ensures growth of the Bank in line with the business strategy and Board approved risk appetite.

Investment Committee is responsible to oversee the Bank's domestic and international investments which provides an alternative income and liquidity source to the Bank. The Investment Committee is responsible for establishing investment guidelines and mandates (limits and parameters) for the investment managers who manage the portfolio, and for monitoring and reviewing the risks and performance of this investment portfolio.

Market and Liquidity Risk Management Department comprises of the following sections:

- **ALM Section** – supports the Bank's capital markets businesses and Asset and Liability Committee (ALCO). The section conducts regular analysis of the Bank's interest rate and liquidity risks using simulation models. These measures include Net Interest Income at Risk, Economic Value of Equity at Risk and Liquidity ratios which are reported to ALCO and the Board of Directors.
- **Market Risk Section** – covers the monitoring of market risk on the trading book, banking book, and the international investments portfolio. The section also conducts a daily analysis of the risks on banking and trading book under stress scenarios along with a daily back testing to record any breaches. The section is also responsible for the capital charge calculation and reporting the same under normal and stressed conditions.
- **Treasury Risk Section** – independently monitors the risks of Treasury and Investment Division. It ensures the segregation and integrity of key reporting processes especially the market rate revaluation process, and ensures that Treasury complies with the approved limits' structure. It also assists Treasury with business and systems developments.

c) Risk Reporting

Market Risk Management Function of the Bank through Board approved risk management frameworks, policies and procedures ensures that all existing and emerging risks are identified, measured, monitored and reported within the risk appetite tolerances duly approved by the Board of Directors. Managers of specific risk functions are responsible for the day-to-day functional oversight of the risk including monitoring, assessing, measuring, escalating, reporting and controlling of the respective risk types. Active risk management of the Bank includes the processes across the risk lifecycle.

This risk reporting policy establishes a framework for timely, accurate, and comprehensive risk reporting within Bank. The primary goal is to enhance the quality of decision-making through a balanced assessment of risks and opportunities. By implementing this policy, we aim to:

- Ensure consistent and timely communication of risk information
- Provide accurate and relevant risk data to stakeholders
- Support informed decision-making at all levels of the organization
- Foster a culture of risk awareness and proactive risk management

Senior Management is responsible to manage the desired risk profile, which is reflected in risk reports from respective risk types. Breaches of risk appetite are escalated to the Board of Directors for their monitoring purposes besides seeking their necessary directions for rectifications of breaches. Actual performance against the thresholds of the Risk Appetite Statement is presented to the relevant Management Committee of the Board on a monthly basis.

To develop effective risk reporting, the Bank follows these key steps:

1. Identify relevant stakeholders and their information needs
2. Establish clear reporting lines and responsibilities
3. Define risk categories and assessment criteria
4. Implement a standardized risk assessment methodology
5. Develop templates for various types of risk reports
6. Set up a system for data collection and analysis
7. Establish a regular reporting schedule including ad hoc reports when circumstances so require
8. Implement a feedback mechanism for continuous improvement

The Bank considers the risk management an integral function to ensure the stable risk profile of the Bank and to facilitate the consistent returns to shareholders. Independent risk reporting is also a key component of the risk reporting controls. The Bank has put in place a robust governance structure to ensure an effective risk management for identification, measuring, monitoring, reporting and mitigation of risks.

The Bank deploys adequate risk management systems for the effective measurement, monitoring and reporting. For market risk, the risk systems are used by the Bank which are widely acknowledged and used for Value at Risk and other risk measures such as Net Interest income at Risk and Economic Value of Equity at Risk. The systems are regularly assessed and upgraded for improvement in risk measurement and adherence to regulatory changes.

Table MR1: Market risk under the standardised approach - 31 December 2024

		SR 000's
		a
		Capital requirement in standardised approach
1	General interest rate risk	120,308
2	Equity risk	641,770
3	Commodity risk	-
4	Foreign exchange risk	251,523
5	Credit spread risk - non-securitisations	-
6	Credit spread risk - securitisations (non-correlation trading portfolio)	-
7	Credit spread risk - securitisation (correlation trading portfolio)	-
8	Default risk - non-securitisations	215,145
9	Default risk - securitisations (non-correlation trading portfolio)	-
10	Default risk - securitisations (correlation trading portfolio)	-
11	Residual risk add-on	-
12	Total	1,228,745

Table CVAA: General qualitative disclosure requirements related to CVA

a) An explanation and/or a description of the bank's processes implemented to identify, measure, monitor and control the bank's CVA risks, including policies for hedging CVA risk and the processes for monitoring the continuing effectiveness of hedges

The Credit Valuation Adjustment (CVA) capital charge is for potential mark to market losses due to the credit quality deterioration of a counterparty. The Bank has implemented the Reduced Basic Approach (Reduced BA-CVA) methodology to measure CVA capital charge based on the SA-CCR EAD (Standardized Approach for Counterparty Credit Risk Exposure at Default).

The Bank currently does not perform CVA hedging and hence implemented the Reduced BA-CVA approach (which does not recognize any hedges).

b) Whether the bank is eligible and has chosen to set its capital requirement for CVA at 100% of the bank's capital requirement for counterparty credit risk as applicable under SMAR14

The Bank computes the CVA capital charge based on the reduced BA-CVA approach, in adherence to the Central Bank (SAMA) minimum capital requirements for counterparty credit risk and Credit Valuation Adjustment guidelines.

CVA1: The reduced basic approach for CVA (BA-CVA) - 31 December 2024

		SR 000's	
		a	b
		Component s	BA-CVA RWA
1	Aggregation of systematic components of CVA risk	491,766	
2	Aggregation of idiosyncratic components of CVA risk	173,078	
3	Total		4,235,846

Table ORA: General qualitative information on a bank's operational risk framework

a) Strategy & Objectives

Operational Risk Management Department (ORMD) provides professional risk management services to all business and support areas of the Bank to optimally manage their operational risks. ORMD objective, as a 2nd Line of Defense function, is to facilitate business and support functions in controlling and managing their operational risks through identification, measurement/ assessment, monitoring, mitigating and reporting the risks. ORMD role, as 2nd Line of Defense function, is to adopt a pro-active approach in supporting the 1st Line of Defense functions for identification of risks thus reasonably minimizing the risks within the Bank's risk appetite. It is supported by robust operational risk management framework, policies and procedures.

The Bank effectively manages operational risk through a comprehensive, Board-approved operational risk management policy. This policy prescribes key risk management aspects of the three lines of defense model and operational risk management tools to facilitate appropriate identification, assessment, mitigation, monitoring and reporting of operational risks. The Bank has also developed a robust governance structure outlining the roles and responsibilities of various stakeholders for managing operational risks. these policies were developed in alignment with the regulatory guidelines and best practices.

b) Structure and Organization of Operational Risk Management

Operational Risk Management Department reports to Enterprise Risk Management Division and is responsible for the development and implementation of Bank's Operational Risk Management Policy across the Bank.

Operational Risk Management Department activities are supported by five functional areas within the department to facilitate the sustainability and integrity of the Bank's operations and to protect its reputation by controlling, mitigating or transferring the impact of operational risk by performing various risk controlling activities within their scope of work.

Risk Analysis – responsible for the implementation of RCSA and monitor risks through various operational risk tools including Key Risk Indicators (KRI's), KRI Data Quality review, Risk Assessments of New / Changes to existing Products & Services, review of Change requests (CR's), and review of Policies & Procedures.

Operational Incident – performs risk-based examination of the Bank's branch network in accordance with approved methodology to minimize the operational risk exposures. It also investigates on operational loss incidents to identify root – causes of the breach and control failures and publish investigation reports to the stakeholders for implementing appropriate remediations.

Risk Mitigation – responsible for operational loss data management and insurance related mandate. It facilitates the Bank in timely recording, tracking, analysis, and reporting of operational loss incidents using the operational risk management system. It manages and oversee the insurance program and risk transfer of operational losses through a cost-effective insurance program that provides adequate protection against insurable risks.

Risk Monitoring and Advisory – conducts monitoring key activities, limits and metrics including, monitoring of activities transactions, and processes across the Bank domains. Moreover, develop and implement the awareness plan to increase the awareness and training across Lines of defense to increase and enhance the risk culture.

Internal Control – instituted within the Bank to ensure adherence with the requirements of SAMA's Guidelines on Internal Control. The Bank has established an effective mechanism for identification, measurement, monitoring and reporting of risks and their mitigating controls. Guidance for testing of the controls associated with the risks is implemented through quarterly control testing process. The executive management has also implemented the 3 Lines of Defense model within the Bank which defines the roles and responsibilities and relationship between business and risk oversight/monitoring functions.

c) Scope and Nature of Operational Risk Reporting

Operational Risk Management Department ensures that a regular risk reporting is carried out for executive management and the Board. An integrated risk report is presented periodically to the Operational Resilience Committee (ORC), Risk Committee of the Board and Audit Committee of the Board. The reporting framework encompasses the identification, assessment, monitoring, and mitigation of operational risks across the Bank. The main context of the reporting framework is to provide executive management and the board of directors with a clear understanding of the Bank's operational risk profile and the effectiveness of operational risk management efforts.

d) The risk mitigation and risk transfer used in the management of operational risk

The Bank's risk mitigation process for operational risk is governed by a comprehensive framework designed to identify, assess, monitor, and manage risks effectively. This framework is supported by robust governance, with policies

approved by the Board of Directors and oversight provided by a dedicated Operational Risk Committee to ensure the effective implementation of mitigation measures.

Business units conduct regular risk and control self-assessments (RCSA) to evaluate operational risks within their processes and identify appropriate controls. Any gaps discovered are addressed through targeted action plans aimed at strengthening the control environment.

To proactively monitor risk levels, the Bank employs key risk indicators (KRIs) with predefined thresholds. These thresholds are designed to trigger timely escalations and prompt corrective actions when necessary.

Operational loss data is systematically collected and analyzed to address root causes and implement enhancements to existing controls. External loss events are also reviewed to gain additional insights for preventive measures.

OR1: Historical losses

SR 000's												
		a	b	c	d	e	f	g	h	i	j	k
		2023	2022	2021	2020	2019	2018	2017	2016	2015	2014	Ten year Average
Using 44,600 SAR threshold												
1	Total amount of operational losses net of recoveries (no exclusions)	34,129	108,177	54,432	20,246	87,028	10,710	11,640	20,534	12,070	4,384	36,335
2	Total number of operational risk losses	48	51	66	44	26	33	14	16	24	29	35
3	Total amount of excluded operational risk losses	-	-	-	-	-	-	-	-	-	-	-
4	Total number of exclusions	-	-	-	-	-	-	-	-	-	-	-
5	Total amount of operational losses net of recoveries and net of excluded losses	34,129	108,177	54,432	20,246	87,028	10,710	11,640	20,534	12,070	4,384	36,335
Using 446,000 SAR threshold												
6	Total amount of operational losses net of recoveries (no exclusions)	29,811	103,107	48,102	13,616	85,419	18,594	11,419	20,025	9,993	3,490	34,358
7	Total number of operational risk losses	18	16	26	7	10	10	7	5	5	5	11
8	Total amount of excluded operational risk losses	-	-	-	-	-	-	-	-	-	-	-
9	Total number of exclusions	-	-	-	-	-	-	-	-	-	-	-
10	Total amount of operational losses net of recoveries and net of excluded losses	29,811	103,107	48,102	13,616	85,419	18,594	11,419	20,025	9,993	3,490	34,358
Details of operational risk capital calculation												
11	Are losses used to calculate the ILM (yes/no)?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	
12	If "no" in row 11, is the exclusion of internal loss data due to non compliance with the minimum loss data standards (yes/no)?	-	-	-	-	-	-	-	-	-	-	
13	Loss event threshold: 44,600 SAR or 446,000 SAR for the operational risk capital calculation if applicable	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	44,600 SAR	

OR2: Business Indicator and subcomponents

		SR 000's		
		a	b	c
	BI and its subcomponents	2023	2022	2021
1	Interest, lease and dividend component	7,467,340		
1a	Interest and lease income	20,606,115	12,907,561	9,108,106
1b	Interest and lease expense	8,191,837	2,855,116	814,933
1c	Interest earning assets	354,168,697	331,583,990	298,886,773
1d	Dividend income	40,801	79,861	126,969
2	Services component	4,083,640		
2a	Fee and commission income	3,730,796	3,559,071	3,154,791
2b	Fee and commission expense	1,346,175	1,130,404	1,037,144
2c	Other operating income	682,824	697,589	425,848
2d	Other operating expense	47,607	80,423	52,637
3	Financial component	440,441		
3a	Net P&L on the trading book	419,944	219,029	196,683
3b	Net P&L on the banking book	-43,630	121,775	407,521
4	BI	11,991,420		
5	Business indicator component (BIC)	1,664,913		

Disclosure on BI:

		a
6a	BI gross of excluded divested activities	
6b	Reduction in BI due to excluded divested activities	

OR3: Minimum required operational risk capital

SR 000's		
#	Particulars	a
1	Business indicator component (BIC)	1,664,913
2	Internal loss multiplier (ILM)	0.76
3	Minimum required operational risk capital (ORC)	1,256,970
4	Operational risk RWA	15,712,122

Table IRRBBA - IRRBB risk management objectives and policies (Qualitative disclosures)

Qualitative disclosure

Interest Risk in the Banking Book (IRRBB) is the risk to the Bank's earnings and capital that arises out of customers' demands for interest rate related products with various repricing profiles. As the Bank engages in such activities as lending, balance sheet funding and capital management, it may be exposed to the inherent Interest Rate, Foreign Exchange and Liquidity risks.

The Bank manages IRRBB within its established Net Interest Income at Risk (NII) and Economic Value of Equity at Risk (EVE) limit that are measured and monitored by Risk Management Division and reported to the Asset and Liability Committee and to the Board.

The strategies used to mitigate the stressed IRRBB are through the Funds Transfer Pricing (FTP) mechanism, the management of interest rate risk is taken out of the hands of the business units and entrusted to the Treasury /Balance Sheet Management units. The Treasury /Balance Sheet Management performs analysis of the risks inherent in the balance sheet based on the calculations provided by the Market and Liquidity Risk Management Department, and determines appropriate hedging strategies in consultation with the ALCO and then executes those strategies.

The periodicity of calculation of Bank's IRRBB measures is monthly. The Bank uses interest income at risk and economic value of equity at risk to gauge and a description of the specific measures that the Bank uses to gauge its sensitivity to IRRBB.

The Bank uses seven interest rate shock scenarios to gauge the change in its economic value and earnings; +/- 100 bps and +/- 200 bps; +/- 400 bps.

Re-pricing and yield curve risks were determined to be the predominant risk categories affecting the Bank. The risk exposure to the embedded options like early redemptions and delays, is not material and hence has not been considered over the past years; However, the Bank applied the call date for its debt issuances. Impact of Prepayments in fixed retail loans is incorporated in IRRBB calculations. Based on the behavioral trends it has been concluded that options risk (excluding prepayments) is not currently significant for the Bank and hence can be excluded from the capital allocation process for interest rate risk at present.

Bank uses earning adjusted EV method which includes cashflows of net free equity in its delta EVE estimations for assessing pillar II capital required for IRRBB

Strategies to mitigate IRRBB include the use of cash and derivative instruments. In the case of significant and fast parallel shifts in rates in either direction, the alternative products available to the Bank are:

- Buy/Sell long/short term government securities or bonds
- Liquidate some Investments
- Buy/Sell futures
- Buy/Sell forwards
- Write payer/receiver swaps
- Pay/Receive fixed rate deposits
- Issue fixed/floating bonds/loans/CDs
- Buy/sell caps/floors

In each case the strategy undertaken by the ALCO is to appropriately adjust the Bank's exposure in terms of duration, timing and interest rates whilst minimizing the accounting issues and remaining within all regulatory limits and ratios.

For generating cash flows, the end rates (including commercial margins and other spreads) have been used. For discounting however, SAIBOR and SOFR rates have been used. The average repricing maturity for NMD's have been estimated based on a historical ten-year redemption data analysis of deposits. The impact of prepayments in retail fixed loans has been incorporated in the calculations.

The historical prepayments are analyzed to estimate the annual CPR rates.

Quantitative disclosures

- 1 Average maturity assigned to NMDs: 3.5 years.
- 2 Longest repricing maturity assigned to NMDs: within 6-7 years.

IRRBB1 – Quantitative information on IRRBB - 31 December 2024

In reporting currency	Δ EVE		Δ NII	
Period	Dec-24	Dec-23	Dec-24	Dec-23
Parallel up	(5,256,060.53)	(6,431,217.62)	(44,482.66)	40,957.94
Parallel down	5,121,372.97	6,567,239.12	45,829.92	(88,640.98)
Steepener	(215,801.04)	(1,271,839.97)		
Flattener	1,175,103.19	22,936.53		
Short rate up	(614,191.71)	(3,173,235.64)		
Short rate down	2,539,545.65	3,556,451.97		
Maximum	(5,256,060.53)	(6,431,217.62)	(44,482.66)	(88,640.98)
Period	2024		2023	
Tier 1 Capital (See note below)	67,745,110		60,013,632	

Table IRRBBA - IRRBB risk management objectives and policies (Quantitative disclosures)

Quantitative disclosures		
1	Average repricing maturity assigned to non-maturity deposits (NMDs).	Average maturity assigned to NMDs: 3.5 years.
2	Longest repricing maturity assigned to NMDs.	Longest repricing maturity assigned to NMDs: within 6-7 years.

REMA – Remuneration policy (Compensation Policy)

Introduction

Riyad Bank aims to attract, motivate and retain qualified talent and provide employees with the necessary vocational skills, capabilities and expertise to carry out their tasks and responsibilities efficiently and effectively. This policy has been developed to document the regulations followed by the Bank in connection with compensation, benefits and incentives in line with the mission, vision and strategic objectives of the Bank.

The Bank follows a systematic approach in the management of compensation that aims to establish internal equity as well as external competitiveness. Some components of this approach include:

- A documented reward management program
- Market surveys
- A salary scale based upon market compensation surveys
- Job profiles and grades
- A performance management program
- Periodic salary reviews

The nature of work, competitive market conditions, the Bank's financial status, its performance versus budget and strategic objectives, and anticipated future developments are also taken into consideration.

Coverage	Brief Description
Purpose	The policy defines roles, responsibilities, and authorities that are related to employee's compensation. It also aligns the incentive policy with the Bank's risk management framework, how to manage and monitor risk effects as well as maintain the balance between role-based incentives and disincentives, the general framework for incentive policy and its applicability using a risk weighting method, linking rewards to the actual performance levels of employees, types of immediate and deferred incentives, a reward framework for each category of roles/jobs, determining fixed and variable reward element, and the method of payment. The implementation of this policy is in conjunction with the approved Human Capital (HC) policy (and its appendices) and HC processes and procedures, while being governed by the approved administrative authorities (DoA).
Scope	The HC Division is responsible for the implementation and application of this policy through specific processes and procedures. The HC Division will also be responsible for monitoring the applicability of this policy. The scope of this policy covers all levels and categories of employees, in addition to the senior management, whether regularly or contractually employed, as well as outsourcing arrangements with third party service providers, if applicable. Compensation policies, procedures and practices of all the Bank's subsidiaries operating in the financial sector are required to be consistent with this policy, and approved by the respective Board of Directors or nominated representatives. Unless if indicated otherwise. This policy applies also to branches and / or representative offices operating in any foreign jurisdiction, provided that there is no inconsistency with the legal and regulatory requirements of the jurisdiction where they undertake business activities. Unless if indicated otherwise.
Core Principles	• Performance-based rewards. • Competitive within the Bank's selected markets. • Uses a total reward model (i.e. basic salary, fixed allowances, role-based allowance, benefits and variable pay). • Fair and equitable in its employee's treatment. • Effectively managed (Risk Management and Governance).

Core Principle	What it means	What it looks like
Performance-based rewards	1. Reward arrangements which offer higher rewards for high performance and lower to no rewards for average or poor performance. 2. Linking reward to agreed measures of business and individual performance. 3. A meaningful proportion of reward 'at risk'.	• Salary increases and bonus payments (Rewards) should reflect market, business & individual performance, including adherence to risk management policies and processes. • Everyone has the opportunity to earn a bonus, if justified by business performance. • The lower the performance, the higher the chance of losing rewards. • Business KPIs always includes an assessment of the employee's compliance with risk management policies, procedures and controls. • Personal performance is measured against individual KPIs and competencies. • Individual rewards are markedly different for different levels of performance.
Competitiveness	1. Ensuring that rewards are implemented at a level that enables the Bank to attract and retain employees of the required caliber. 2. Applying a systematic approach to benchmarking total reward structure against the right market competitors.	• The bank develops a remuneration strategy that ensure remuneration competitiveness against the market including all elements of which fixed pay (Basic salary & Allowance) variable pay (Short term & Long term), benefits, and allowance. • The bank carries out salary, compensation and benefits surveys to compare its practices. This process conducted in collaboration with several reputable consulting firms.
Total Rewards	1. Ensuring the right balance of rewards in a way that aligns with the interest of the bank, risk management, business and individual performance. 2. Designing remuneration structure that includes: • Basic Salary • Fixed Allowances • (Short-term & long-term incentives) • Benefits 3. Developing short incentive scheme	• Reward decisions take account of the balance between external competitiveness and affordability. Taken together, these means: - Controlling, not unjustifiably enhancing allowances, benefits and other fixed costs. - Not providing guaranteed bonus awards. - Focusing attention on building motivational and performance related reward arrangements. • Introducing recognition programs (financial or non- financial), where motivational benefits clearly outweigh costs

Core Principle	What it means	What it looks like
	that drives and motivates high performance. 4. Designing a system does not encourage exposure to risks that are not proportionate to the bank's risk appetite.	- For executive, senior management and other specific roles/grades, the bank uses a combination of short- term and deferred bonuses in form of shares, where the vesting of these shares shall be after three years to create an equilibrium between the requirement for the delivery of financial results in the short-term with balanced risk-taking over the long-term. - Shares vesting is dependent upon the long-term performance of the Bank and the realization of shareholder value based on the plan approved by the Board - Shares vesting takes into account: ROE, net income, credit portfolio, cost/income ratio and performance versus peer banks.
Fair & Equitable	- The Bank follows a systematic approach to the management of compensation that aims to establish internal equity. - Ensuring fairness of treatment within and between business functions and employee groups.	- Clearly defined and well-applied reward and performance management processes and decision-making criteria. - Ensure that an employee's remuneration is appropriate and that employees who perform similar work to a similar level of performance are remunerated in a broadly similar manner. - Compliance with relevant regulatory frameworks. - Continues monitoring.
Risk Management	- Remuneration for employees in control functions to be determined independently of the functions they control. - Risk Management review of compensation and incentives policies to ensure employees are not rewarded for taking excessive risk or creating undue concentration of risk.	- The remuneration of employees engaged in control functions such as Audit, Compliance, Risk Management and Credit Risk is designed to ensure objectivity and independence of these functions in which assured that their remuneration cannot interfere by Business Heads in functions being monitored and controlled. - Identified risk takers such as executives, senior management and other specific roles/grades within the bank in alignment with the risk management framework, ensuring a strategic approach to managing risks and fostering a secure financial environment. - Any changes to Remuneration policies is signed off by the Risk Management, and Compliance function before submission to the Nomination & Compensation Committee (NCC).
Governance		

Core Principle	What it means	What it looks like
	1. Board of Directors is responsible for reward across the Bank. 2. The Nominations & Compensation Committee (NCC) which comp advises the Board of Directors. 3. The Nominations & Compensation Committee (NCC) is responsible for ensuring that compensation decisions take account of risk.	• The Board of Directors owns the responsibility for approving the compensation policy, and ensuring the effective implementation of the policy. • The Board is advised by the Nominations & Compensation Committee on all matters relating to the compensation policy. • The Nominations & Compensation Committee reviews and recommends to the Board of Directors all compensation matters relating to Executive Management. • The Nominations & Compensation Committee reviews and recommends to the Board of Directors the remuneration policy and structure. • The Nominations & Compensation Committee takes into account during their review and endorsement of the remuneration policy and structures all aspects of risk, including reputational risk, capital risk, liquidity risk, etc.

REM1: Remuneration awarded during the financial year - 31 December 2024

		a	b
		Senior management	Other material risk-takers
	Remuneration amount		
1	Fixed remuneration		
	Number of employees	12	415
2	Total fixed remuneration (3 + 5 + 7)	24,827	140,302
3	Of which: cash-based	24,827	140,302
4	Of which: deferred		
5	Of which: shares or other share-linked instruments		
6	Of which: deferred		
7	Of which: other forms		
8	Of which: deferred		
9	Variable remuneration	11	261
	Number of employees		
10	Total variable remuneration (11 + 13 + 15)	29,149	13,147
11	Of which: cash-based	12,139	7,912
12	Of which: deferred		
13	Of which: shares or other share-linked instruments	17,010	5,235
14	Of which: deferred		
15	Of which: other forms		
16	Of which: deferred		
17	Total remuneration (2 + 10)	53,976	153,449

REM2: Special payments - 31 December 2024

Special payments	Guaranteed bonuses		Sign-on awards		Severance payments		Total amount
	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Number of employees	
Senior management							
Other material risk-takers							

REM3: Deferred remuneration - 31 December 2024

	a	b	c	d	e
Deferred and retained remuneration	Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
Senior management	24,459				6,720
Cash	7,449				6,720
Shares	17,010				
Cash-linked instruments					
Other					
Other material risk-takers	7,257				1,796
Cash	2,022				1,796
Shares	5,235				
Cash-linked instruments					
Other					
Total	31,716	-	-	-	8,516

General Qualitative Disclosure Requirements

Disclosure Policy for Basel III Pillar 3

To comply with the requirements of 'General Guidance Notes: Part A' issued via SAMA's circular 361000126572 dated July 9, 2015, Para 10 Riyad bank has established a Disclosure Policy for Basel III Pillar 3 information.

The Disclosure Policy amongst other things covers scope, implementation date, purpose, applicability and the roles and responsibilities and Internal Controls over preparation of Pillar 3 Disclosures.

	The below list of tables and templates are Not Applicable
Overview of risk management and RWA	KM2 – Key metrics – TLAC requirements (at resolution group level)
Linkages between financial statements and regulatory exposures	PV1 – Prudent valuation adjustments (PVA)
Composition of capital and TLAC	TLAC1 – TLAC composition for G-SIBs (at resolution group level)
	TLAC2 – Material subgroup entity – creditor ranking at legal entity level
	TLAC3 – Resolution entity – creditor ranking at legal entity level
Macroprudential supervisory measures	GSIB1 – Disclosure of G-SIB indicators
Credit risk	CRE – Qualitative disclosures related to IRB models
	CR6 – IRB – credit risk exposures by portfolio and probability of default (PD) range
	CR7 – IRB – effect on RWA of credit derivatives used as CRM techniques
	CR8 – RWA flow statements of credit risk exposures under IRB
	CR9 – IRB – backtesting of PD per portfolio
	CR10 – IRB (specialised lending and equities under the simple risk weight method)
Counterparty credit risk	CCR4 – IRB – CCR exposures by portfolio and PD scale
	CCR6 – Credit derivatives exposures
	CVA2 – The full basic approach for CVA (BA-CVA)
	CVAB – Qualitative disclosures for banks using the SA-CVA
	CVA3 – The standardised approach for CVA (SA-CVA)
	CVA4 – RWA flow statements of CVA risk exposures under SA-CVA
Securitisation	CCR7 – RWA flow statements of CCR exposures under the Internal Model Method (IMM)
	SEC2 – Securitisation exposures in the trading book
Market risk	SEC3 – Securitisation exposures in the banking book and associated regulatory capital requirements – bank acting as originator or as sponsor
	MRB – Qualitative disclosures for banks using the IMA
	MR2: Market risk for banks using the IMA
	MR3: Market risk under the simplified standardised approach